

Student Loan Debt Crisis and Financial Barriers to Higher Education

The Student Debt Crisis

Rising tuition costs and increased reliance on loans have produced a student debt crisis of unprecedented scale. Over 45 million Americans, or approximately one in eight, owe more than \$1.7 trillion in student loan debt—a figure that continues to grow and now exceeds the gross domestic product of most countries. (Zota, n.d.) Individual debt burdens range from the hundreds of thousands to the thousands of dollars, depending on degree type, institution, and personal circumstances (Hanson, "Total U.S. Student Loan Debt"). Higher education, once promoted as a reliable investment in future success, social mobility, and the American Dream, has become a source of significant, often inescapable, debt. (Chakrabarti et al., 2020)

The proliferation of student debt has far-reaching consequences that extend well beyond individual hardship. This debt restricts graduates' life opportunities, mental health, economic participation, family formation, civic engagement, and overall well-being for decades, frequently persisting throughout their adult lives (Goldrick-Rab; Mettler). It also impacts entire families, as parents may co-sign on loans or divert retirement savings to help their children, creating intergenerational financial burdens. (Trawinski & Williams, 2019) Communities and local economies suffer as borrowers delay homeownership, entrepreneurship, and other investments that drive growth. (Mezza et al., 2016)

Escalating costs also create barriers that prevent many qualified students from accessing higher education, particularly those from low-income backgrounds, first-generation college students, students of color, rural students, and other marginalized groups—precisely those for whom education was intended to provide a pathway out of poverty (Chetty et al.; Houle and Addo). The ideal of education as the great equalizer and a route to social mobility has been fundamentally undermined. (Mir & Toor, 2024)

Moreover, the psychological effects of student debt are profound. Many graduates with bachelor's, master's, and even doctoral degrees are unable to afford basic living expenses, indefinitely delay major life milestones such as homeownership, marriage, and family formation, and experience persistent financial insecurity and limited choices, despite following the guidance of society, educators, and policymakers regarding the path to success and stability (Hout; Aaronson and Mazumder). Anxiety, depression, and chronic stress are common among borrowers who feel trapped by their debt load. (Sinha et al., 2024, pp. 363-393) These effects ripple outward, affecting workplace productivity, family relationships, and broader patterns of civic participation and trust in institutions. (Stivers & Berman, 2020)

Why It Matters

Scope and Impact of the Student Debt Crisis

A significant proportion of graduates accumulate substantial student debt, often ranging from tens of thousands to several hundred thousand dollars. Such debt burdens can delay milestones including homeownership, family formation, and career advancement, fundamentally altering life trajectories. The average undergraduate borrower owes approximately \$30,000 to \$40,000 for a bachelor's degree, though this amount varies by institution, state, program, and duration of study. (Board) Borrowers at private institutions, those pursuing graduate or professional degrees, or those extending their education due to employment or personal challenges frequently incur debts exceeding \$100,000 (Hanson, "Average Student Loan Debt for a Bachelor's Degree"; Dynarski, "An Economist's Perspective"). Graduate and professional degrees are associated with particularly high debt levels. Medical students often graduate with \$200,000 to \$500,000 in debt, with a median between \$200,000 and \$250,000. Law students typically incur \$150,000 to \$200,000 in law school debt alone, with total educational debt

often reaching \$200,000 to \$300,000 when undergraduate loans are included. Master's degrees in lower-paying fields such as social work, teaching, or public health can add \$50,000 to \$100,000 in debt. ("A Retrospective Analysis of the Relationship Between Medical Student Debt and Primary Care Practice in the United States") In some cases, loan payments exceed take-home income or consume 30 to 50 percent of salary ("Trends in Student Loan Debt Among Graduate Students: 1995–2015"; Hanson, "Average Medical School Debt"). Dental students graduate with average debt of \$300,000 to \$400,000. Veterinarians incur \$150,000 ("On rising medical student debt: in for a penny, in for a pound" 52-56) to \$200,000 in debt, while starting salaries are \$60,000 to \$80,000. PhDs in the humanities and social sciences accumulate \$50,000 to \$150,000 in debt but often face limited job prospects. These debt-to-income ratios are unsustainable and contribute to significant psychological burdens ("Dentists of Tomorrow 2025"). Debt distribution is highly unequal: some students graduate with manageable debt of \$5,000 to \$10,000, while others face overwhelming burdens of \$200,000 to \$500,000. ("Student Loan Debt Statistics [2026]: Average + Total Debt") Median figures often obscure this variation and the associated hardship (Looney and Yannelis).

Interest on student loans accrues rapidly and often surpasses borrowers' ability to reduce the principal balance, resulting in increasing debt even with regular payments. Federal student loan interest rates typically range from 5 to 8 percent, depending on loan type, year, and degree level. Private loan rates are frequently higher, ranging from 8 to 12 percent or more, and may fluctuate ("Historical Federal Student Loan Rates"). Many borrowers, particularly those in income-driven repayment plans, deferment, or forbearance, find that their payments cover only interest, leaving principal balances unchanged or increasing. Some borrowers owe more than their original loan amounts even after a decade of consistent payments, exacerbating financial distress (Baum and O'Malley). For example, a borrower with \$50,000 in loans at 6 percent interest who makes only minimum payments due to low income may see their balance rise to \$60,000 or \$70,000 over time. This negative amortization can result in significant psychological distress (Dynarski, "The Trouble with Student Loans"). When unpaid interest is capitalized, borrowers pay interest on accumulated interest, substantially increasing total debt ("Historical Federal Student Loan Rates"). Loan terms typically span 10 to 30 years, allowing debt to persist into borrowers' 50s, 60s, or 70s. ("Repayment Plans") Unlike a mortgage, student loan debt does not result in asset ownership, appreciation, or equity, and often lacks options for refinancing or discharge.

Universities can assist students in understanding and managing the long-term effects of interest accrual by establishing cross-functional teams from student services, financial aid, and academic advising. These teams should develop and implement financial literacy programs focused on loan interest, repayment strategies, and preventing negative amortization. Educational modules should be integrated into orientation, advising, and graduation sessions, with mandatory participation for first-year and graduating students. Additionally, universities could provide personalized loan counseling services, regularly scheduled workshops on navigating federal and private interest rates, and proactive semesterly check-ins for students identified as being at risk of increasing (Management) balances or interest capitalization, based on financial aid office data.

Deans serve a critical leadership function by convening interdisciplinary teams within their colleges, allocating resources for targeted outreach, and prioritizing financial literacy and counseling initiatives within strategic plans. By championing these efforts, deans can establish college-level goals, ensure broad faculty and staff engagement, and monitor program effectiveness through regular reviews. Key implementation steps include conducting a needs assessment via student surveys, designing program content and training staff, piloting sessions with targeted student groups, and expanding participation campus-wide. Effectiveness metrics should include student feedback surveys, participation rates, pre- and post-program knowledge assessments, changes in rates of negative amortization among recent graduates, and reductions in the proportion of students reporting distress over loan repayment. By equipping students with tools to project long-term costs and compare repayment plans, and by tracking these outcomes over time, universities can demonstrate impact to the Board and further empower borrowers to make informed decisions and minimize unnecessary financial distress.

Standard repayment plans typically last 10 years, while income-driven plans extend to 20 or 25 years. However, many borrowers take 30 years or more to repay their loans due to deferment, forbearance, or making only minimal payments.

("Income-Driven Repayment Plans for Student Loans: Budgetary Costs and Policy Options") Parent PLUS loans can persist into parents' retirement, with Social Security benefits subject to garnishment ("Income-Driven Repayment (IDR)"). Borrowers often begin repayment in their early 20s. They may continue into their 50s, with debt incurred as teenagers affecting their prime working and family-building years, often due to incomplete information and social pressure (Zaloom). Certain student populations are particularly vulnerable to prolonged or overwhelming debt burdens. First-generation college students, students from low-income families, underrepresented minorities, transfer students, and those who do not complete their degrees are more likely to borrow larger amounts relative to their expected future income and to experience repayment difficulties (Chen et al.). These groups would benefit from targeted support measures, including proactive outreach, enhanced financial counseling, and dedicated resources to help them navigate repayment options. Monthly payments can consume a substantial portion of income, hindering the achievement of other financial goals. Borrowers may pay \$300 to \$1,000 or more per month, while those with graduate or professional degrees may pay \$2,000 to \$3,000 or more. ("Average Student Loan Payment (2026)") These payments divert resources from retirement savings, emergency funds, homeownership, healthcare, family formation, geographic mobility, entrepreneurship, and overall quality of life (Hanson, "Total U.S. Student Loan Debt"; Rothstein and Rouse).

If funds allocated to loan payments during borrowers' 20s and 30s were instead invested in retirement accounts, those investments could accumulate to hundreds of thousands, or even millions, of dollars by retirement. (Dettling et al.) As a result, student debt contributes to long-term financial insecurity and increases the risk of lifetime poverty (Fullwiler et al.). The burden of student debt has grown significantly across generations, making cross-generational comparisons unreliable. In the 1980s, students could finance public college tuition, fees, room, and board through part-time minimum wage work (15 to 20 hours per week). Currently, tuition has increased by 169 percent at public four-year institutions and over 200 percent at private institutions since 1980, adjusted for inflation, while real wages have stagnated or declined ("Recent Trends in the Cost of College"; Archibald and Feldman). A student working full-time at minimum wage for a year cannot afford one year of tuition, fees, room, and board at most public universities, let alone additional expenses such as books, transportation, and healthcare. ("Characteristics of minimum wage workers, 2024")

Institutional policies at many universities have shifted significantly over the past several decades. Tuition increases have consistently outpaced inflation, while grant aid has not kept pace with rising costs. In the 1990s, institutional grant aid covered a larger portion of total costs. Over time, however, universities have shifted a greater financial burden onto students and families by increasing reliance on loans. This transition has been driven by declining state and federal funding, rising operating expenses, and an emphasis on expanding academic programs and campus facilities. While these objectives aimed to maintain institutional competitiveness and quality, they also led to higher tuition and greater reliance on loans as the primary funding mechanism. Work-study opportunities, which previously offered more hours and higher awards, are now capped at lower limits, making it more difficult for students to offset tuition costs. ("Federal Work-Study: Past its prime, or ripe for renewal?") Administrative decisions to limit tuition increases have only partially mitigated the burden, as fees and auxiliary costs have continued to rise. These policy choices reflect broader trends in higher education but have directly increased students' reliance on borrowing and made it more challenging to finance education through work or savings alone. Within university governance, deans can influence these trends by reviewing and providing input on tuition proposals, advocating for expanded grant aid, and participating in committees that influence budget allocations. Deans can also facilitate discussions about financial aid policies within their academic units and communicate concerns about affordability and access to university leadership, ensuring that student impact remains a central consideration in policy decisions.

To reduce student reliance on loans, the Board could consider alternative strategies such as increasing institutional grants, implementing tuition freezes, expanding work-study and paid internship programs, or reallocating resources toward need-based aid. Prioritizing and sequencing these strategies is essential to maximize impact and feasibility. Increasing institutional grants and expanding need-based aid represent the most urgent and achievable steps for immediate relief, as they directly support students at highest risk of over-borrowing. Tuition freezes or caps, while beneficial for all students, may require

additional long-term budget planning and approval. Expanding work-study and paid internship programs can provide meaningful financial support with relatively low implementation barriers and should be pursued concurrently. In the medium term, reassessing spending priorities and considering income-share agreements will require broad stakeholder engagement and careful risk assessment. Advocacy for partnerships with local industries to subsidize student costs can proceed in parallel and may offer new funding streams over the longer term.

The recommended order of implementation is as follows: increase institutional grants and reallocate funds toward need-based aid; expand work-study and paid internship opportunities; pursue a tuition freeze or cap; reassess institutional spending priorities to identify additional resources for student support; explore income-share agreements; and develop new partnerships with local industries. By clarifying this sequence, deans and senior leaders can focus on championing strategies with the greatest immediate impact while building support for more complex initiatives over time.

These approaches would help rebalance financial aid, decrease debt burdens, and enhance educational accessibility for future students. As a result, borrowing has become a necessity, since working through school is no longer financially viable. The suggestion from previous generations to "just work harder" is therefore economically unfounded (Goldrick-Rab).

In 1980, average tuition at public four-year colleges was approximately \$800 per year (about \$2,500 in today's dollars). Currently, in-state tuition alone averages \$10,000 to \$12,000 or more, excluding fees, room, board, books, and living expenses. The total cost of attendance often exceeds \$25,000 to \$35,000 per year at public institutions and \$50,000 to \$80,000 at private institutions ("College Tuition Price Inflation, 1980→2024"). The shift from grants to loans has fundamentally altered the financing of higher education. In the 1970s and 1980s, Pell Grants covered a substantial portion of college costs; today, they cover much less, compelling students to borrow. Federal policy now prioritizes loans over grants, effectively privatizing the cost of what was once a public good ("State Higher Education Funding Cuts"; Mettler).

Given these trends, universities should pursue institutional reforms and advocacy to mitigate the burden on students. Institutions could advocate at the state and federal levels for expanded grant funding and the restoration of public investment in higher education. Internally, developing new institutional aid programs that prioritize need-based grants over loans would further support students facing the greatest financial barriers. Additionally, forming coalitions with other universities to campaign for increased government funding and more equitable financial aid policies could amplify the impact of these efforts. Deans can play a central role in these advocacy initiatives by participating in multi-institutional coalitions, meeting with state and federal policymakers, contributing university perspectives during legislative hearings, and publicly supporting proposals that expand grant-based aid. By engaging in these efforts and mobilizing faculty and alumni networks, deans can help demonstrate the university's commitment to these priorities. Through proactive leadership, universities can address the structural causes of student debt and improve financial outcomes for their students.

Life on Hold: Deferred and Denied Aspirations

Homeownership is delayed by a decade or more, or becomes unattainable for millions of borrowers. Student loan debt impedes the ability to save for down payments—often requiring \$20,000 to \$60,000 or more for 10 to 20 percent down on median-priced homes—when most income is allocated to loan payments. It also hinders mortgage qualification, as high debt-to-income ratios disqualify borrowers even with strong credit and stable income; lenders typically require debt-to-income ratios below 43 percent, yet student loans push many borrowers above 50 to 60 percent. Additionally, missed payments, defaults, or high credit utilization negatively affect credit scores (Martin). The median age of first-time homebuyers has increased from the mid-20s to the early- to mid-30s. Many millennials and Generation Z borrowers may never own homes, thereby being excluded from the primary means of wealth accumulation and intergenerational wealth transfer in the United States ("Redfin Reports the Typical First-Time Homebuyer is 35 Years Old") ("Redfin Reports Gen Z and Millennial Homeownership Rates"). The homeownership rate for millennials significantly lags behind previous generations at the same age, with student debt identified as a major contributing factor ("Redfin Reports Gen Z and Millennial Homeownership Rates

Flatlined in 2024 as Housing Costs Soared"). Empirical research indicates that each \$1,000 in student debt reduces the probability of homeownership by 1 to 2 percentage points (Mezza et al.; Bleemer et al.).

Comprehensive policy interventions are required to facilitate homeownership among student loan borrowers. Legislators could implement first-time homebuyer assistance programs tailored to individuals with student debt, including matched savings for down payments, grant programs, or forgivable down-payment loans contingent on consistent mortgage payments (e.g., the "FirstLight Home Match Program"). Furthermore, revising mortgage debt-to-income ratio guidelines to exclude student loan payments under income-driven repayment plans could substantially enhance mortgage eligibility ("Debt-to-Income Ratio for a Mortgage: What It Is and How to Calculate It"). Regulatory reforms may also incentivize lenders to create specialized homeownership products or adopt flexible underwriting criteria for borrowers with strong rental payment histories and stable employment, even when student debt elevates their overall debt burden (Agency). Targeted federal or state initiatives are essential to address the enduring effects of student debt on access to homeownership in the United States (Mezza et al. 135-177).

Black and Latino borrowers, who already encounter discrimination in housing and lending markets and often lack intergenerational wealth for down payments, face compounded challenges due to higher student debt burdens. This dynamic renders homeownership nearly unattainable and exacerbates the racial wealth gap (Houle and Addo; Scott-Clayton and Li). Prolonged renting results in the absence of equity, wealth, and security, while increasing vulnerability to rent hikes, eviction, and housing instability throughout the life course. The lack of housing wealth also undermines retirement security (Bleemer et al.). Universities can mitigate these disparities through targeted, equity-focused interventions. Potential initiatives include expanding need-based scholarships, establishing down payment assistance programs in collaboration with local lenders, providing financial literacy education tailored to underrepresented students, and creating pathways to homeownership and wealth accumulation for Black and Latino graduates (Bennett et al. 569-599). Collaborative efforts with historically Black colleges and universities, Hispanic-serving institutions, and community organizations can further enhance these impacts, contributing to the reduction of racial disparities in financial outcomes and advancing institutional diversity and inclusion objectives (Lee and Searles). Policymakers play a crucial role in supporting university-led initiatives through legislative action and targeted funding, which can expand institutional financial aid, provide matching funds for down payment assistance, and incentivize cross-sector partnerships. Such support is vital for scaling effective programs and ensuring that interventions to close the racial wealth gap are sustainable and broadly accessible (Collins et al.).

Family planning and childbearing are frequently postponed indefinitely or abandoned altogether due to student loan debt. Borrowers often delay or forgo marriage, as financial stress strains relationships, debt is perceived as a burden on partners, and the costs of weddings are prohibitive. The high costs of childcare—ranging from \$1,000 to \$2,500 or more per month per child—along with expenses for larger housing, parental leave, healthcare, college savings, and income loss during caregiving years, further deter family formation ("Housing and transportation accounted for 50 percent of household spending in 2024"). Some individuals avoid relationships entirely, perceiving themselves as "damaged goods" financially or not wishing to burden a partner with debt. Reports indicate that some borrowers decide not to have children at all due to financial constraints, with student debt directly impeding the formation of the next generation (Nau et al.; Addo). Declining birth rates among millennials and Generation Z are partially attributed to student debt, as the psychological and economic burdens make family formation appear unattainable (Nau et al.). Borrowers in their 30s and 40s confront biological limitations while remaining unable to afford children. Career choices are significantly constrained by student loan debt, compelling graduates to prioritize higher salaries over personal interests, values, or vocational aspirations. Many are unable to pursue careers in the arts, humanities, education, nonprofit sectors, social services, or public interest law, as loan repayment obligations necessitate employment with higher income, often in corporate roles that may conflict with personal ethics or beliefs. This dynamic also limits geographic mobility, as individuals must relocate to higher-salary areas, often at the expense of proximity to family and community, and undermines work-life balance due to the need for positions with demanding hours. Lower-paying positions in nonprofit, public service, teaching, journalism, creative fields, or social justice are often inaccessible, even when aligned

with graduates' training and sense of purpose, because loan payments require annual incomes of \$60,000 to \$80,000 or more to maintain financial stability (Gassman et al. 240-253). The current system thus compels individuals to accept employment that may be misaligned with their interests or well-being to service educational debt, undermining the intended purpose of higher education (Paulsen 1-21) (Rothstein and Rouse).o service debt from education that was supposed to help them do meaningful work (Paulsen 1-21) (Rothstein and Rouse).

The Public Service Loan Forgiveness program was designed to alleviate student debt for individuals who complete ten years of public service employment. However, persistent administrative mismanagement has resulted in rejection rates exceeding 98 percent for several years, undermining the program's intent and disadvantaging public servants who forgo higher salaries for mission-driven work ("Income-Driven Repayment (IDR)"). As a consequence, talented teachers, social workers, public defenders, nonprofit workers, and others either leave their fields or are deterred from entering them, contributing to workforce shortages in essential services and depriving society of their expertise (Rothstein and Rouse; Hanson, "Average Medical School Debt").

Universities have a critical role in advocating for enhancements to federal loan forgiveness programs. Institutions can collaborate with higher education associations to promote more transparent and accessible Public Service Loan Forgiveness processes, establish dedicated support teams to assist graduates with application and certification procedures, and develop institutional fellowships or stipends for alums pursuing public-interest careers. These measures can help ensure that students committed to essential service are not disadvantaged by systemic shortcomings, while enabling graduates to contribute to their communities without excessive financial burden (Office).

Entrepreneurship and risk-taking are significantly discouraged and often rendered financially unfeasible by student loan debt. Launching a business, freelancing, consulting, or pursuing innovative ventures requires financial reserves to withstand unstable early income, capital for business development, mental capacity unencumbered by debt-related stress, and a willingness to assume risk—resources that many borrowers lack (Wertheim et al.). Ongoing loan obligations compel individuals to remain in traditional salaried employment, regardless of job satisfaction or alignment with personal skills and interests. Aspirations for side businesses or startups are frequently thwarted by loan payments that cannot be deferred or reduced during the initial stages of business development (Fullwiler et al.; Alexander). As a result, innovation is stifled, and the next generation of entrepreneurs, inventors, artists, and social innovators remains confined to corporate employment to service educational debt (Busteed) (Alexander).

Student loan debt significantly restricts geographic mobility, often confining borrowers to locations they wish to leave. Many are unable to relocate for improved employment opportunities due to prohibitive moving costs—ranging from \$3,000 to \$10,000 or more—along with expenses for new housing deposits and the financial risks associated with employment transitions. Relocation for relationships, family, enhanced quality of life, or climate considerations is similarly constrained, as is the ability to escape unsafe or unhealthy environments, including domestic violence, discriminatory communities, or environmental hazards ("The Impact of Student Loan Debt"). The precarious nature of student debt renders any major life change daunting, particularly for those living paycheck to paycheck to meet minimum payment obligations (Rothstein and Rouse).

Retirement savings are often entirely sacrificed due to student loan obligations, increasing the risk of future poverty and homelessness among older adults. Funds allocated to loan payments during borrowers' 20s, 30s, and 40s—critical decades for capitalizing on compound growth—cannot be invested in retirement accounts such as 401(k)s or IRAs. Missing these investment opportunities can result in the loss of tens or hundreds of thousands of dollars in compound growth, leading to insufficient retirement savings by one's 50s or 60s, prolonged workforce participation into advanced age, and heightened risk of poverty or homelessness in later life (Batkeyev et al. 589-623). The student debt crisis is thus contributing to a looming elder poverty crisis (Fullwiler et al.). Many borrowers are unable to contribute enough to employer-sponsored retirement

plans to receive matching funds, effectively forfeiting additional compensation (Horneff et al.). The overwhelming burden of debt (Baum and O'Malley) fosters intergenerational resentment and despair, as borrowers witness previous generations retire comfortably while facing the prospect of financial insecurity themselves (Johnson and Lee 3456-3478) (Zaloom).

Graduate and professional education is increasingly inaccessible to all but the wealthy, thereby perpetuating class stratification. Undergraduates with \$30,000 to \$50,000 in debt are often unable to assume an additional \$50,000 to \$200,000 or more for graduate studies, limiting opportunities for career advancement, credential acquisition, and entry into professions that require advanced degrees, such as medicine, law, research, or clinical psychology (Webber and Burns 709-732). In contrast, students from affluent families can pursue these paths without incurring debt, compounding generational advantages. As a result, graduate education functions more as a mechanism of class reproduction than social mobility ("Trends in Student Loan Debt Among Graduate Students: 1995–2015"; Chetty et al.). This trend produces professional demographics increasingly dominated by individuals from privileged backgrounds, reducing class and often racial diversity, and diminishing understanding of the communities served (Houle and Addo). Universities can address these barriers by expanding graduate fellowships and need-based scholarships, developing pipeline and bridge programs for underrepresented students, and providing targeted financial advising to facilitate access to external funding. These measures not only enhance access but also advance institutional goals for diversity and academic excellence (Castleman and Long 1023-1073). Metrics for evaluating success may include increased applications and enrollment from low-income and underrepresented groups, improved retention and completion rates, and greater diversity in graduate and professional programs. Systematic tracking of these indicators will enable policymakers and institutional leaders to assess the effectiveness and accountability of such interventions over time (Li).

Mental Health and Psychological Toll: The Unseen Burden

Debt-related stress is a significant contributor to severe anxiety, depression, and pervasive feelings of hopelessness. The persistent burden of debt—manifested through monitoring growing balances, allocating substantial portions of income to payments that minimally reduce principal, and projecting years or decades until repayment—generates chronic psychological distress that impairs work performance, relationships, parenting, physical health, and overall quality of life (Walsemann et al.; Sweet et al.). Financial stress is directly associated with a range of serious mental health conditions, including generalized anxiety disorder, panic attacks, major depressive disorder, suicidal ideation, substance use disorders, eating disorders, and sleep disturbances (Richardson et al.). In response to these impacts, universities have a critical responsibility to alleviate the psychological burden on students and alums. Institutions should expand access to counseling services, provide targeted mental health support for those experiencing financial distress, and integrate financial literacy programs to equip students with effective debt management tools. Additional measures include proactive outreach, confidential support groups for borrowers, and collaboration with external mental health organizations. Policymakers also play a vital role at the legislative and regulatory levels. Potential interventions include allocating dedicated funding for universities to expand mental health resources, mandating transparent reporting on the psychological effects of student debt, and developing nationwide guidelines for crisis intervention and mental health support. Legislative initiatives should further promote collaboration among educational institutions, mental health agencies, and financial regulators to establish comprehensive support frameworks and oversight mechanisms. By setting policy standards and investing in systemic change, lawmakers can address both the underlying causes and the extensive mental health consequences of student debt. ("20 U.S. Code § 1070a-14 - Student support services")

The prevalence of mental health conditions among student loan borrowers is substantially higher than in the general population. (Sinha et al. 363-393) Research indicates that borrowers are two to three times more likely to experience depression and anxiety compared to individuals without debt ("Majority of Student Loan Borrowers Link Mental Health Issues to Their Debt"; Walsemann et al.). The perception of being permanently trapped by student debt is psychologically damaging and fosters learned helplessness. (Pisaniello et al.) Unlike other forms of debt—such as credit card, medical, or

mortgage debt—which can often be negotiated, paid down, or discharged, student loans are rarely dischargeable. They may persist through bankruptcy, disability, or even death in certain cases (particularly with private loans involving co-signers). ("What happens to my student loans if I die or become disabled?") This inescapability leads borrowers to experience profound existential despair and a persistent sense of powerlessness (Pardo and Lacey; Iuliano).

In contrast, many other countries implement policies that mitigate these psychological burdens. For instance, Australia and the United Kingdom tie student loan payments to income and automatically suspend payments during periods of unemployment or low earnings, thereby reducing stress and the risk of default. In countries such as Germany and Norway, higher education is tuition-free or low-cost, preventing graduates from incurring significant debt. Additionally, several nations provide accessible mental health services and conduct national awareness campaigns that recognize the connection between financial distress and psychological well-being. These international approaches offer alternative models for policymakers in the United States to consider as they address the interconnected challenges of student debt and mental health. ("Income-Driven Repayment Plans for Student Loans: Budgetary Costs and Policy Options")

Individuals experiencing overwhelming emotions due to debt-related stress can benefit from practical coping strategies. Seeking support from a trusted friend, family member, or counselor may provide immediate relief and foster a sense of connection. Engaging in activities such as documenting concerns, practicing deep breathing, or taking brief walks can interrupt cycles of panic or despair. For persistent or severe distress, it is essential to access professional mental health services or campus counseling centers, many of which offer confidential assistance to those facing financial and emotional challenges. Even small steps toward seeking support can be instrumental in regaining a sense of control.

"I'll die with this debt" is a frequently expressed sentiment that reflects not only financial reality but also profound psychological trauma—a perceived lifelong penalty for pursuing higher education (Sweet et al.). Shame and stigma exacerbate this suffering and often deter individuals from seeking help. Borrowers may internalize beliefs that they "should have known better," made "bad choices," or are personally failing financially, despite systemic factors and having followed conventional advice. Many feel isolated in their struggles, unaware that millions share similar burdens, and may avoid discussing their debt with friends, family, or partners. Societal narratives frequently frame student debt as a personal or moral failing rather than recognizing it as a systemic issue and policy failure. This victim-blaming perspective intensifies feelings of shame and isolation (Zaloom; Goldrick-Rab). Observing peers achieve milestones such as homeownership, marriage, parenthood, or travel—opportunities often precluded by debt—can further contribute to feelings of inadequacy and falling behind (Walsemann et al.).

Debt adversely affects relationships in various ways. It can generate tension in romantic partnerships, particularly when there are significant disparities in debt levels or when only one partner carries debt. Financial conflicts may arise over prioritizing loan payments versus shared goals, and resentment can develop if one partner feels burdened by the other's student debt. Secrecy about the extent of debt may lead to feelings of betrayal and eroded trust. Some borrowers may avoid relationships altogether, perceiving themselves as "damaged goods" or fearing that disclosing their financial situation will result in rejection. The experience of dating while managing substantial debt can be particularly distressing (Addo). Debt is a leading factor in divorce and relationship breakdown among younger generations, with financial stress consistently identified as a primary relationship stressor ("Student Loan Debt Can Be a Factor in Divorce").

The experience of unfulfilled promises regarding higher education contributes to profound anger, cynicism, and despair, ultimately eroding trust in institutions and society. Students are frequently assured that obtaining a college degree guarantees success and upward mobility, that hard work will be rewarded, and that education is a sound investment. However, when individuals adhere to these expectations—working diligently, achieving academic success, and entering the workforce—yet remain unable to afford housing, healthcare, or basic security, the resulting psychological impact is one of betrayal and disillusionment. This leads to skepticism about the American Dream and meritocracy, diminished confidence in institutions

such as education, government, and economic systems, and intergenerational mistrust toward those who provided such guidance (Mettler; Goldrick-Rab). This sense of betrayal can foster political alienation, radicalization, or disengagement from civic life, accompanied by the perception that the system is fundamentally inequitable and participation is futile (Hout). (Fishman and Gutin)

Universities, as key stakeholders in the higher education system, bear responsibility for shaping students' perceptions and experiences. Transparent communication regarding the true costs and risks of education, expansion of financial counseling and support services, and active advocacy for policy reforms are essential steps toward rebuilding trust with students and the public. Demonstrating accountability through critical evaluation of past messaging, enhanced career placement support, and engagement with alums on debt-related issues can help restore institutional integrity and reaffirm a commitment to student well-being. To ensure these responsibilities are fulfilled, clear accountability measures are necessary. Regular public reporting on the availability, utilization, and effectiveness of campus support services, along with annual disclosure of student debt outcomes, can drive continuous institutional improvement. Establishing external oversight bodies at the state or national level would help verify that universities meet defined standards for communication, counseling, and advocacy. Additional transparency can be achieved through independent audits, student surveys, and advisory boards comprising parents and alums. Policymakers should consider linking funding or accreditation to demonstrated progress on these metrics, ensuring that universities provide substantive support to students affected by debt. ("U.S. Department of Education Issues Final Rule to Hold All Colleges and Universities Accountable for Low-Earning Programs")

Current and prospective students should investigate the counseling, financial aid, mental health support, and advocacy resources available at their current or prospective universities. Proactively exploring university websites, contacting counseling centers, and inquiring about specialized support for financial and mental health challenges can provide essential assistance and significantly alleviate stress during challenging periods. It impairs cognitive function and physical health in measurable, documented ways. (Pisaniello et al.) Chronic financial stress is linked to cardiovascular disease (high blood pressure, heart attack, stroke risk), weakened immune systems (getting sick more often, slower healing), chronic inflammation (underlying many diseases), gastrointestinal problems (IBS, ulcers, nausea), chronic pain and tension (headaches, back pain, TMJ), sleep disorders (insomnia, disrupted sleep, exhaustion), accelerated biological aging (shorter telomeres, cellular damage), metabolic dysfunction (weight gain, diabetes risk), and cognitive impairment (the mental load of managing debt affects memory, decision-making, executive function, and overall cognitive performance—poverty and financial insecurity literally reduce IQ and cognitive capacity through mechanism of cognitive bandwidth depletion) (Sweet et al.; Richardson et al.). The stress is not just psychological—it's physiological, affecting every system in the body and shortening lifespan (Sweet et al.; McEwen).

Suicidal ideation, attempts, and deaths associated with student debt are underreported but demonstrably increasing. Some borrowers have died by suicide, leaving notes that explicitly cite student loans as contributing factors or primary causes. The convergence of hopelessness, shame, perceived failure, entrapment, feelings of being a burden, lack of prospects, isolation, and co-occurring mental health conditions creates circumstances in which some borrowers contemplate or attempt suicide. Each such death represents both a personal tragedy and a systemic failure, as it is a preventable outcome resulting from policy decisions (Walsemann et al.; Richardson et al.). Suicide prevention hotlines have reported a rise in calls related to financial stress and student debt, particularly among young adults ("Majority of Student Loan Borrowers Link Mental Health Issues to Their Debt"). Survivors of suicide attempts often describe debt as feeling like "drowning," "suffocating," or "being buried alive," language that underscores the trauma of inescapable financial burden (Sweet et al.).

Addressing this escalating crisis requires the expansion and promotion of suicide prevention and mental health support resources specifically for student loan borrowers. University counseling centers and campus wellness programs should provide specialized outreach, confidential counseling, workshops, and peer support groups tailored to the unique challenges posed by student debt. Students and families seeking assistance can typically begin by contacting campus counseling offices

or student affairs departments, or by consulting university websites for directories of support services. Accessing resources in person, by phone, or through online inquiry forms connects individuals to trained staff who can guide them to appropriate services. Community organizations also play a role by offering crisis hotlines, financial counseling helplines, and referral networks for mental health support. College administrators and policymakers are responsible for ensuring that students are informed about available resources, training faculty and staff to recognize warning signs, and collaborating with mental health professionals to foster supportive environments. Promoting these resources, reducing stigma, and ensuring accessibility can save lives and demonstrate institutional commitment to supporting at-risk students. (Besse et al. 3079-3083)

To ensure the effectiveness of these programs and the optimal allocation of resources, institutions should implement clear metrics and evaluation frameworks for regular outcome assessment. Relevant measures may include monitoring counseling service utilization rates, tracking changes in reported mental health symptoms among student borrowers, evaluating participation in prevention workshops, and surveying student satisfaction with available support. Systematic data collection and analysis enable universities and policymakers to make informed, evidence-based decisions regarding program development, resource distribution, and policy advocacy, ultimately enhancing support and well-being for those most affected by student debt. ("Evaluating the evidence base for university counseling services and their effectiveness using CORE measures: A systematic review and meta-analysis" 451-462)

Inequality and Systemic Barriers: Disproportionate Impacts on Marginalized Students

Low-income and first-generation students face disproportionate burdens that may deter them from pursuing higher education, thereby perpetuating intergenerational poverty. Students from families lacking college experience, financial literacy, or familiarity with financial aid systems, as well as those without resources to visit campuses or hire college counselors, often do not fully understand loan terms, interest accrual, or long-term financial consequences. For example, signing promissory notes at age 17 or 18 without realizing that \$40,000 borrowed can become over \$60,000 with interest. (Education) These students may borrow more than necessary by accepting full loan offers without realizing they can borrow less, or by attending expensive institutions without awareness of more affordable alternatives. They may also select costly schools without understanding differences in quality or outcomes, sometimes influenced by prestige or aggressive recruitment by predatory institutions. The absence of family safety nets exacerbates these challenges, as students cannot rely on family support if unemployed or unable to make payments. Additional barriers include the need to work full-time while enrolled, family caregiving responsibilities, food and housing insecurity, and limited social capital or professional networks (Goldrick-Rab; Chetty et al.).

Low-income students tend to borrow more, both in absolute terms and as a percentage of income, and face greater repayment challenges due to a lack of family financial support during and after college. ("Student Loan Repayment, 2009 to 2019") These students cannot rely on parental assistance for rent, car repairs, or emergencies and often work 25 to 40 hours per week while enrolled, which negatively affects academic performance and delays degree completion. (Kalenkoski and Pabilonia) On average, they graduate with lower GPAs, enter careers with lower starting salaries due to limited professional networks, geographic constraints, or discrimination, and possess less financial literacy regarding repayment options such as income-driven plans, loan consolidation, or forgiveness programs (Looney and Yannelis; Bound and Turner). (Karamcheva et al.) Universities play a critical role in addressing these inequities. Institutional interventions—including targeted advising for low-income and first-generation students, comprehensive financial literacy programs beginning in the first year, emergency aid for students facing unexpected hardships, and proactive outreach about affordable degree pathways—can help mitigate these disparities. Evidence demonstrates the effectiveness of such interventions: for example, the City University of New York's ASAP program, which provides comprehensive advising and financial supports, has doubled graduation rates for low-income students (from 22% to 40%). Financial literacy workshops at several public universities have been associated with reductions in risky borrowing and loan default rates. At the same time, emergency grant programs have reduced dropout rates among students experiencing financial crises. (Frees et al.) By providing resources such as dedicated mentors, workshops on loan

options and repayment strategies, and transparent communication about financial aid, universities can empower students to make informed decisions and avoid unnecessary debt burdens.

Students of color disproportionately carry higher debt burdens, which serve to exacerbate and perpetuate the racial wealth gap. Black college graduates, for example, owe an average of \$25,000 more than white graduates at the time of graduation, and this disparity increases over time. Twelve years after graduation, the median Black borrower still owes 95% of their original debt, indicating minimal progress despite a decade of payments. In contrast, the median white borrower has repaid 94% of their debt. (Scott-Clayton and Li) Latino borrowers also tend to carry higher debt and face greater repayment challenges. These disparities reflect the broader racial wealth gap, as Black families possess median wealth that is only one-tenth that of white families and are less able to contribute to college costs or assist with loan repayment. (Kochhar and Moslimani) Additional contributing factors include labor market discrimination, which results in Black and Latino graduates earning less than their white peers with equivalent degrees, as well as systemic barriers to intergenerational wealth accumulation, such as discrimination in housing, lending, employment, and the criminal justice system—for-profit colleges, which aggressively recruit students of color, further compound these challenges. Students of color are also more likely to leave college without a degree due to financial pressures, accruing debt without obtaining a credential (Scott-Clayton and Li; Houle and Addo).

Student debt is actively widening the racial wealth gap, reversing some of the progress achieved during the civil rights era. Black households that invested in higher education have experienced a decline in wealth relative to those who did not attend college, indicating that college has become economically detrimental for some Black families ("College Debt Worsens the Racial Wealth Gap"; Scott-Clayton and Li). Women hold nearly two-thirds of all student debt, reflecting both higher college attendance and enrollment rates—women now earn more bachelor's and graduate degrees than men—and the persistent gender pay gap, which complicates repayment. Women earn approximately 82 cents for every dollar earned by men, with even lower earnings for women of color (Black women earn 63 cents, Latinas 55 cents), making identical debt burdens significantly more difficult to repay. (Smolarek) Additional challenges for women include career breaks or part-time work for caregiving, which further reduce lifetime earnings and repayment capacity. Women borrowers also face unique burdens related to childbirth (such as unpaid maternity leave and high childcare costs), divorce (potentially being responsible for loans from a former partner's education), and aging into retirement with outstanding debt, with older women experiencing the highest poverty rates (American Association of University Women; Miller). (Hong et al.) First-generation students are more likely to attend for-profit colleges, which are characterized by higher costs, lower outcomes, higher default rates, aggressive recruitment, and predatory practices. This trend is driven by a lack of guidance on institutional quality and selectivity, limited understanding of rankings, accreditation, and reputation differences, targeted marketing by for-profit institutions, and insufficient college knowledge among families (Cottom; Deming et al.).

Institutional leaders have a pivotal role in addressing these inequalities, both within their campuses and as advocates for broader policy reforms. Board members and trustees possess unique authority to champion these changes at the highest level. The Board can establish strategic priorities focused on equity and affordability, allocate resources to expand need-based grant aid, and mandate regular reporting on outcomes for underserved student populations. Trustees can advocate for increased state and federal funding to reduce student reliance on loans, endorse policies that support targeted debt relief for borrowers most affected by the wealth gap, and ensure that institutional practices align with these objectives. By providing oversight to ensure transparent communication of financial information and approving comprehensive financial literacy initiatives, Board members can promote institutional accountability. Furthermore, the Board can leverage its public platform to support policy reforms in higher education financing by engaging with legislators, joining coalitions for accountability and equity, and building partnerships with community organizations. Through these actions, trustees and other institutional leaders can help reshape the system to serve all students more equitably and effectively.

For-profit colleges receive a disproportionate share of federal student aid—amounting to billions of dollars—while producing some of the poorest outcomes, including low graduation rates, poor job placement, unrecognized credentials, and extremely high default rates. (Armona et al.) Despite these outcomes, such institutions continue to operate with minimal accountability (Cottom; "Student Loan Crisis Underscores Inequity in Higher Education"). The fear of debt prevents many capable students from accessing higher education, thereby impeding social mobility. Numerous high-achieving students from low-income backgrounds do not apply to college, decline admission offers, or choose not to enroll because the prospect of debt appears insurmountable. (Hoxby and Avery 1-65) The perception of borrowing amounts such as \$40,000 to \$80,000 can be paralyzing. (Sinha et al. 363-393) Many students and their families are unaware that financial aid and scholarships may reduce actual costs, and families often discourage borrowing due to generational fears of debt, without recognizing the economic necessity of a degree. As a result, some students opt to work rather than pursue higher education, or fear incurring debt without completing a degree. This dynamic perpetuates intergenerational poverty and undermines the social mobility that higher education is intended to provide; those who most need education to escape poverty are the most deterred by its cost (Goldrick-Rab; Chetty et al.).

"Undermatching" is prevalent: high-achieving, low-income students often attend less selective institutions than their qualifications merit, or do not attend college at all, primarily due to cost concerns. (Black et al.) Many ultimately enroll at more expensive institutions with less financial aid because they lack understanding of financial aid systems (Bound and Turner; Chetty et al.). (Bound and Turner) The prevailing "college or bust" narrative creates untenable dilemmas. Society insists that higher education is essential for economic security—supported by the persistent wage premium for degrees—yet fails to provide affordable pathways, as tuition remains unaffordable without borrowing. Students are thus forced to choose between incurring substantial debt and forgoing college, facing limited economic opportunities, low wages, and insecurity. This binary offers no satisfactory solution (Hout; Abel and Deitz).

Furthermore, this messaging neglects the potential of vocational training, trades, and alternative pathways, which may be more suitable for many students. However, these options are often undervalued and underfunded, creating an artificial bottleneck that casts college as the sole viable path (Mettler). To foster a more equitable system and broaden access, universities should establish partnerships with local vocational and technical programs, offer joint credential opportunities, and support pathways that integrate academic coursework with career training. By strengthening connections with apprenticeships, certificate programs, and workforce development initiatives, universities can help students access affordable alternatives that lead to quality employment without excessive debt. In alignment with the president's commitment to expanding educational opportunity, these efforts would ensure that students from all backgrounds have meaningful and respected choices beyond the traditional four-year degree. To enable trustees and campus leaders to monitor the impact of these initiatives, the university should establish clear success metrics. Two recommended measurable outcomes are: (1) increasing the percentage of students enrolling in vocational, technical, or alternative credential programs, and (2) reducing the average debt load at graduation for students participating in these new pathways. Regular reporting on these indicators will allow the institution to evaluate progress, identify challenges, and ensure that these efforts effectively expand opportunity and affordability for all students.

The Erosion of Education as a Vehicle for Social Mobility

The concept of education as a means of social mobility is fundamentally undermined when graduates are unable to afford basic living expenses. Higher education was intended to serve as a pathway to the middle class, a mechanism for upward mobility, and an equalizer that rewards merit rather than birth. However, for millions of individuals, it has instead become a source of financial instability and downward mobility, impeding the attainment of the middle-class lifestyle it once promised. To address these challenges, institutions should implement strategies such as enhancing career services, expanding financial aid, and developing programs that directly support student outcomes. Considering these actionable responses is essential to

restoring higher education's role as a genuine driver of social mobility. The social contract is broken (Aaronson and Mazumder; Chetty et al.).

Many graduates with bachelor's degrees are employed in minimum-wage, gig-economy, or service-sector positions while their student loans continue to accrue interest. The "college premium"—the earnings advantage conferred by a degree relative to a high school diploma—has diminished across numerous fields, particularly for recent graduates. Concurrently, the cost of higher education has increased substantially, rendering the return on investment (ROI) of college questionable for many students and academic programs. For instance, incurring \$100,000 in debt for a degree that yields a \$35,000 annual salary is economically unsustainable, yet this scenario is common (Abel and Deitz; Dynarski, "The Trouble with Student Loans"). In some cases, college graduates are financially worse off than high school graduates once debt burden is considered, representing a significant reversal of the expected relationship between education and income (Looney and Yannelis). Nationally, the average student debt-to-income ratio for recent graduates exceeds 80 percent, and nearly 40 percent of graduates are unable to secure full-time employment in their field within six months of graduation. In certain disciplines, employment rates for graduates remain below 60 percent one year after graduation, and median debt payments now account for 15 to 20 percent of monthly take-home income for borrowers in many states. ("Debt Payments and Spending: Evidence from the 2023 Student Loan Payment Restart, Accessible Data")

Students and families at the institution have access to a comprehensive array of career-related and financial resources. The Career Center provides resume and cover letter workshops, individualized career counseling, on-campus recruiting events, and a job search platform connected to national and regional employers. Internship programs are coordinated through academic departments, and the university organizes job fairs each semester to facilitate direct connections between students and potential employers. The Office of Financial Aid offers financial literacy seminars, one-on-one advising sessions focused on loan repayment and budgeting, and online tools to assist students in projecting debt-to-income ratios based on their chosen field of study. Additionally, the university operates an Alumni Mentorship Program that connects seniors and recent graduates with alums across various industries for career guidance and networking.

Tracking outcome metrics such as graduate employment rates, median starting salaries by discipline, and debt-to-income ratios is essential for evaluating the effectiveness of institutional and policy interventions. To address concerns regarding return on investment, institutions should expand comprehensive career services to facilitate employment in students' chosen fields, provide targeted scholarships for high-need students, and increase access to financial literacy programs that enable informed borrowing and earnings decisions. Establishing proactive internship and job placement partnerships, along with regular outcome assessments against these benchmarks, can help ensure that higher education fulfills its role as a vehicle for social mobility. In response to these challenges, the Faculty Senate could take concrete steps to advocate for meaningful change. For example, the Senate might establish a task force dedicated to improving student post-graduation outcomes, with a mandate to evaluate and recommend enhancements to career services, alum networks, and employer partnerships. The Faculty Senate could also propose policy changes such as requiring annual transparency reports on graduate employment data and debt-to-income ratios for each academic program. Furthermore, the Senate may recommend that the institution adopt or strengthen requirements for integrating career exploration, employer engagement, and financial literacy into the core curriculum, thereby empowering students to make informed decisions about their fields of study. Through these actions, the Faculty Senate can play an active role in shaping policies and institutional practices that support genuine social mobility for graduates.

Underemployment among college graduates is both widespread and demoralizing. Millions of graduates are employed in positions that do not require a degree, such as retail, food service, call centers, and gig work. (Abel and Deitz) Many are unable to utilize their skills or training, with history majors working in warehouses and engineers driving for rideshare companies. These positions often do not provide sufficient income to justify the debt incurred, with some graduates earning \$30,000 to \$40,000 annually while carrying \$60,000 in debt and allocating 20 to 30 percent of their take-home income to loan

payments. ("Underemployed college graduates U.S. 2025") Such roles typically offer limited opportunities for career advancement. (Verbruggen et al. 101-110) The psychological impact of being overeducated, underemployed, and burdened by debt is significant ("Underemployment Rate of Recent U.S. College Graduates by Major 2023"). Recent data indicate that 52 to 56 percent of college graduates are underemployed, working in jobs that neither require nor utilize their degrees, which constitutes a substantial loss of human capital and talent (Department) ("Underemployment Rate of Recent U.S. College Graduates by Major 2023").

Despite these challenges, graduates and their families can adopt practical strategies to improve their prospects. Building and maintaining professional networks through social media platforms and alums associations can facilitate access to otherwise inaccessible opportunities. Pursuing targeted short courses, certifications, or online workshops, particularly in high-growth sectors, can enhance competitiveness and expand career pathways. Engaging with career services, seeking mentorship from industry professionals, and participating in job search workshops or resume clinics can further improve employment outcomes. For some, entrepreneurship or freelancing within their areas of expertise offers alternative avenues to apply their offers. Utilizing campus and local resources, such as mental health counseling and financial planning assistance, can help address both emotional and practical challenges. Connecting with alum networks for advice, job leads, or informational interviews may also generate new opportunities. By proactively seeking support, developing new skills, and leveraging available resources, graduates and their families can better navigate underemployment and work toward more stable futures.

Opportunity hoarding among wealthy families continues to accelerate, while student debt restricts access for others, compounding advantages and disadvantages across generations. Families with substantial resources can finance college with little or no debt, enabling their children to graduate debt-free and allocate their full income toward wealth-building activities such as saving, investing, homeownership, entrepreneurship, graduate education, career pivots, and geographic mobility. This perpetuates intergenerational advantage, as debt-free graduates can support their own children through college payments, down-payment gifts, and inheritances. Conversely, borrowers are often unable to accumulate wealth, assist their children with educational expenses, or even pass on debt through Parent PLUS loans, thereby requiring financial support from adult children and reinforcing class stratification (Chetty et al.; Zaloom). In response to these disparities, institutions and policymakers have introduced equity-focused initiatives, including need-based financial aid, Pell Grants, first-generation student support centers, and targeted scholarships for underrepresented groups.

At the institution, students and families can access information and apply for aid or scholarships through the Office of Financial Aid's website, which provides step-by-step guides, eligibility criteria, and application links. First-generation students may also connect with support centers and specialized advising via the student services portal or by contacting campus support offices. Recent state and federal proposals have called for increased support for need-based aid and the expansion of existing programs. However, these initiatives are frequently underfunded and may not fully address the gap created by rising costs and persistent wealth inequality. To evaluate and enhance the effectiveness of equity-focused programs, it is essential to track metrics such as retention and graduation rates, as well as reductions in student debt among aid recipients. Disaggregating these outcomes by demographic group can help identify areas requiring additional support or revision. Providing these data enables the Senate to advocate for continued and expanded investment in such programs and supports board-level leadership in making informed, data-driven decisions. Board members can further strengthen these efforts by prioritizing fundraising for equity-based scholarships, supporting policies that increase public funding and student aid, and ensuring institutional resources are directed toward closing access and attainment gaps. Through active engagement in decision-making and advocacy, trustees and board members can expand the impact and reach of equity initiatives across the institution.

Intergenerational wealth transfer is increasingly influential in shaping economic outcomes, with student debt a significant barrier to wealth accumulation and transfer for families without substantial resources (Houle and Addo; "College Debt Worsens the Racial Wealth Gap"). Social mobility has stagnated or declined, as Americans are now less likely to surpass their

parents' economic status than at any point in recent history; only approximately 50 percent of children born in the 1980s will out-earn their parents, compared to 90 percent of those born in the 1940s and 1950s. (Chetty et al. 398-406) Student debt is a major contributing factor, transforming education from a vehicle for mobility and opportunity into a constraint on upward mobility. The decline of the American Dream is closely linked to the burden of student debt (Aaronson and Mazumder). For many millennials and members of Generation Z, economic mobility has effectively ceased, as they are unable to achieve milestones such as homeownership, secure retirement, and upward economic trajectory, despite attaining higher levels of education (Aaronson and Mazumder; Hout).

Despite these significant challenges, there are positive trends and emerging reforms that offer potential for meaningful change. Several states have introduced pilot programs providing debt-free or tuition-free pathways for students from low-income families, thereby helping to disrupt cycles of generational debt. Some universities and community colleges have expanded work-based learning and apprenticeship opportunities, resulting in improved employment outcomes. Recent federal policy initiatives have increased Pell Grant funding and enhanced income-driven repayment plans, offering greater relief to borrowers. Institutions that have implemented comprehensive student support programs report higher graduation rates and lower default rates. These developments indicate that targeted reforms and investment in evidence-based initiatives can produce measurable benefits for students and families, supporting the restoration of upward mobility.

The middle class is experiencing significant contraction, with wealth inequality increasing and student debt serving as a major contributing factor. Graduates who would traditionally be considered middle class—including teachers with master's degrees, nurses with BSNs, social workers with MSWs, engineers, journalists, and nonprofit workers—are struggling to afford basic living expenses and are often living paycheck-to-paycheck, as 10 to 20 percent (and sometimes 30 percent or more) of their gross income is allocated to loan payments. ("Insights from the 2023-2024 Student Loan Borrower Survey") The middle-class lifestyle that higher education was expected to provide is now unattainable for many while servicing student debt (Alexander; Fullwiler et al.). In response, several targeted initiatives have been implemented or are under development. For instance, the institution offers a Student Loan Assistance Program featuring webinars and individualized counseling to help graduates navigate repayment strategies and access federal income-driven repayment options. The Financial Wellness Center provides ongoing counseling for students in public service and other lower-paying fields, and a Deoffersf Pilot Program awards partial loan repayment to graduates in high-need sectors. Additionally, the board is considering automatic enrollment in income-based repayment plans for new graduates and expanding partnerships with local employers to include student loan repayment assistance in benefits packages. These investments are intended to alleviate the financial burden for current and future graduates and to help reestablish higher education as a viable pathway to the middle class.

Predatory Practices and Exploitation

For-profit colleges and predatory lending practices systematically exploit vulnerable students through deliberate and calculated deception. These institutions, including Corinthian Colleges, ITT Tech, University of Phoenix, DeVry, Kaplan, and many others, allocate a greater proportion of their revenue to marketing, advertising, and recruitment (30-40%) than to instruction (10-20%). (Office) They aggressively target and recruit low-income students, veterans, students of color, single parents, and first-generation students, who are often the most vulnerable and least informed. For-profit colleges frequently deliver poor educational outcomes, with graduation rates typically ranging from 20-40% or lower, and charge tuition rates that exceed those of public universities and many private nonprofits, despite offering inferior education. ("DeVos ends protection policy for students at For-Profit colleges") These institutions also report poor job placement outcomes, often making fraudulent claims of 80-90% placement rates, and produce graduates whose credentials are not recognized or valued by employers. As a result, for-profit colleges have the highest student loan default rates, with 40-50% or more of students defaulting within a few years of leaving (Cottom; Deming et al.; Cellini and Turner). Although they enroll approximately 10% of students, for-profit colleges account for 35-40% of student loan defaults, highlighting the severity of the issue ("Student Loan Crisis Underscores Inequity in Higher Education"). Aggressive and deceptive recruitment tactics include persistent cold-

calling, fraudulent claims about job placement and earnings, targeting individuals during periods of vulnerability such as job loss or poverty, promising rapid access to high-paying careers that do not materialize, and employing high-pressure sales tactics more typical of timeshare sales than educational recruitment (Cottom). Systematic fraud by for-profit colleges has resulted in billions of dollars in borrower defense claims, the closure of major chains such as Corinthian and ITT, and occasional debt cancellation. However, the majority of affected students remain burdened by unrecognized degrees and significant debt (Deming et al.; Cellini and Turner).

Recognizing and avoiding predatory colleges requires vigilance for common warning signs. These include high-pressure or aggressive sales tactics, absence of clear or verifiable job placement and graduation data, unrealistic promises such as guaranteed employment or unusually high starting salaries, vague or misleading information regarding program accreditation, limited access to detailed cost or financial aid information, requests for immediate deposits or decisions, excessive follow-up communications from recruiters, and reluctance to provide transparent answers to questions. Increased awareness of these indicators can enable students and families to make informed decisions and reduce the risk of exploitation.

Addressing these abuses requires policymakers to implement stronger oversight and regulatory measures targeting for-profit institutions. Key interventions include reinstating or expanding the Gainful Employment rule to ensure educational programs lead to meaningful employment, mandating transparent disclosure of actual graduation rates, job placement statistics, and debt outcomes, and strengthening enforcement of consumer protection laws against deceptive advertising and recruitment. Additional measures involve restricting access to federal student aid for institutions with poor student outcomes and increasing funding for independent oversight bodies. Legislative action could also broaden borrowers' rights to discharge student debt in cases of institutional fraud and streamline the borrower defense process to provide timely relief. By enacting these policy measures, lawmakers can help reduce predatory practices and restore accountability in higher education. Furthermore, students and families play a vital role by voicing concerns to elected officials, participating in public comment periods for proposed regulations, joining advocacy groups, and sharing experiences to raise awareness. Collective action and family engagement can drive necessary policy changes and hold institutions accountable.

University leadership must take proactive measures to protect students and uphold institutional integrity. Presidents and senior administrators should implement transparent recruitment and admissions policies, enforce rigorous ethical standards for marketing and outreach, and ensure comprehensive disclosure of program outcomes, job placement data, tuition costs, and lending terms. Institutions should prioritize student support by establishing independent review boards to monitor recruitment and financial aid practices, providing accessible channels for students to report concerns, and conducting regular audits of marketing and admissions operations. Boards of Trustees play a critical role by approving key policies related to ethics and student protection, instituting oversight mechanisms such as regular reviews of recruitment and lending practices, and requesting comprehensive reports from university leadership on compliance and student outcomes.

To further strengthen these efforts, external oversight is essential. Policymakers can support or mandate institutional reforms by requiring public transparency regarding student outcomes and financial practices, as well as independent third-party audits of recruitment and lending processes. These measures help ensure that institutions are consistently held to high standards and that student interests are protected, regardless of internal university policies.

By adopting a proactive approach, the Board can establish strategic direction, hold leadership accountable for maintaining high standards, and ensure effective implementation of reforms. Through transparency and accountability, university leaders can foster an ethical environment, protect vulnerable students, and restore public trust in higher education.

Predatory private student lending practices include variable interest rates that can increase significantly over the life of the loan, absence of income-driven repayment options, and the requirement for co-signers—often parents or grandparents—who become liable if borrowers default, jeopardizing their credit and financial security. Additional concerns include hidden fees

and penalties, complex or deceptive loan terms, and aggressive collection practices such as lawsuits, wage garnishment, and harassment ("Historical Federal Student Loan Rates"; Pardo and Lacey). Unlike federal loans, private loans do not offer deferment or forbearance options, forgiveness programs, or income-driven repayment plans. Nevertheless, students often resort to private loans when federal loan limits are reached or when federal loans do not cover educational costs (Iuliano).

When comparing loan options, families should prioritize federal loans, as these offer the strongest protections, including income-driven repayment plans, deferment or forbearance during hardship, and eligibility for forgiveness programs. Key features to evaluate across loan types include interest rates (fixed or variable), repayment plan flexibility, deferment or forbearance options, fees or prepayment penalties, co-signer requirements, availability of forgiveness programs, and protections in cases of unemployment or economic hardship. Institutional loans may provide more favorable terms than private loans, such as lower or capped interest rates, in-house repayment support, or increased transparency, but may still lack certain federal protections. Private loans, which often have higher and variable interest rates and limited repayment flexibility, should be considered only after all federal and institutional options have been exhausted. Borrowers are advised to carefully review all terms in writing and utilize unbiased loan comparison tools, such as those provided by the U.S. Department of Education or reputable nonprofit organizations, to fully understand the costs and risks before entering into any agreement.

Some institutions have implemented measures to provide safer loan options, such as capping interest rates on institutional loans, offering clearer terms, and establishing in-house repayment programs that are more flexible than those of conventional private lenders. For instance, the University of Michigan caps institutional loan interest rates. It ensures transparent disclosure of terms, while Purdue University's Back a Boiler program utilizes an income-driven repayment structure through an income-share agreement. Additionally, universities can require mandatory financial counseling to help students understand loan obligations, prioritize federal aid options, and avoid predatory products. Peer institutions like Indiana University have introduced required financial literacy modules before borrowing, resulting in significantly reduced student debt. These protective measures mitigate borrower risk, enable university leaders to safeguard students from exploitative lending practices, and promote more ethical financing models. Importantly, these institutional best practices can be scaled and adopted more broadly through state or federal policy. Policymakers could mandate protections such as interest rate caps, required transparency in loan terms, or universal financial counseling for student borrowers, ensuring that student protections extend beyond a select group of institutions. By leveraging successful institutional models, legislators can establish policies that promote ethical lending standards and financial literacy nationwide, making these benefits accessible to all students.

Institutions have limited incentive to control costs when students can access substantial federal and private loans, creating a perverse incentive structure that encourages tuition inflation. Colleges may raise prices based on students' borrowing capacity rather than actual costs or educational value (Archibald and Feldman; Webber). This environment fosters competition based on amenities rather than educational quality, unchecked administrative expansion, and a deprioritization of teaching. (Combs) The Bennett Hypothesis posits that increased federal student aid directly contributes to tuition increases, as institutions capture additional aid by raising prices, thereby benefiting colleges rather than students (Archibald and Feldman; Hackett). Policymakers can address these issues through targeted cost-control policies and regulatory tools. For example, tuition caps can limit annual tuition increases, particularly for institutions receiving federal financial aid. States and the federal government could require colleges to meet minimum performance benchmarks—such as graduation rates, student loan repayment rates, or job placement outcomes—to access certain public funding or financial aid streams. Linking institutional eligibility for aid to measurable student outcomes would enhance accountability and tie resource allocation to demonstrated success. Additional strategies include requiring public disclosure and justification of tuition increases, mandating that a minimum percentage of institutional budgets be allocated to instruction and student support, and incentivizing participation in joint purchasing agreements to reduce operational costs. Some institutions also mislead students regarding job placement rates, graduate earnings, credit transferability, program quality and accreditation, and the

true cost of attendance (Cellini and Turner; Cottom). While these practices are most prevalent at for-profit colleges, nonprofit and public institutions are not immune. For-profit colleges are more aggressive in misrepresenting outcomes and inflating costs, but nonprofits and public colleges also face criticism for tuition increases, administrative growth, and occasionally unclear disclosures. However, nonprofit and public institutions generally allocate a larger share of their budgets to instruction, provide stronger support services, and achieve better graduation and employment outcomes. (Office) This contrast underscores the need for all institutions to review cost structures, enhance transparency, and prioritize student interests.

To support the Board in exercising its policy and oversight responsibilities, three strategic opportunities stand out:

- The Board can mandate regular public reporting on institutional spending breakdowns, tuition growth, and student outcomes to ensure transparency and accountability.
- The Board should pursue cost-control initiatives, such as benchmarking administrative and instructional expenses against those of peer institutions and setting targets to redirect resources toward instruction and student support.
- The Board can require disclosure standards for job placement rates, credit transferability, program quality, and total cost, empowering students and families to make informed choices.

Policymakers can support these efforts by requiring compliance through accreditation standards, linking eligibility for state and federal funding to robust transparency measures, and providing incentives or penalties based on demonstrated adherence to reporting and disclosure requirements. By leveraging these approaches, the Board can lead on reform, restore public trust, and create a more equitable and sustainable model for higher education.

Many students enroll with the expectation of making a sound investment in their future, only to later discover that their degrees hold limited value, are not recognized by employers, and do not lead to employment in their chosen fields, resulting in significant debt for credentials with little market value (Deming et al.; Armona et al.). Loan servicers have systematically mismanaged repayment and violated borrower rights by incorrectly applying payments, providing misleading information about repayment options, steering borrowers toward forbearance rather than affordable repayment plans, losing paperwork for Public Service Loan Forgiveness applications, failing to count eligible payments toward forgiveness, and imposing illegal fees and penalties ("Income-Driven Repayment (IDR)"). Major servicers such as Navient and FedLoan Servicing have faced lawsuits and settlements for these systematic abuses. Yet, borrowers affected by mismanagement often have limited recourse and suffer lasting financial harm (Dynarski, "The Trouble with Student Loans").

Students and families who suspect they have been misled, experienced predatory practices, or had their loan repayments mismanaged should take prompt action to protect their rights. Borrowers are advised to document all communications and retain copies of records related to enrollment, financial aid, and loan repayment. They should contact their institution's student ombuds or complaint office, reach out to the Federal Student Aid Ombudsman Group for federal loan issues, and seek assistance from state attorneys general or consumer protection agencies. Accessing free or low-cost legal aid services, such as those provided by nonprofit organizations or legal clinics, can help borrowers understand their options and pursue claims of fraud or mismanagement. By seeking guidance and support, affected individuals can begin to address harm and pursue potential remedies.

Colleges and universities must take a proactive role in promoting student financial literacy and supporting informed decision-making. Institutions should implement comprehensive financial education programs that begin at orientation and continue throughout students' academic careers, addressing topics such as loan types, repayment options, budgeting, long-term borrowing implications, and warning signs of predatory lending. Regular workshops, peer mentoring, and individualized advising sessions can equip students to understand borrowing limits, manage debt responsibly, and identify potential risks. Most campuses provide resources such as financial aid offices, counseling centers, career services, and peer

mentors, where students and families can seek guidance on loan options, repayment, and financial stress. Universities may also collaborate with independent organizations to offer unbiased counseling and current resources. Establishing on-campus student loan support centers can help students navigate repayment after graduation and prepare for post-college life. By prioritizing these support initiatives, university leaders can advocate for students, reduce the risk of financial exploitation, and foster a culture of transparency and empowerment.

Collection practices related to student loan defaults are often aggressive, harmful, and in some cases, illegal. Defaulted borrowers may face wage garnishment of up to 15% without a court order, seizure of tax refunds, offsets of Social Security and disability payments, damaged credit reports, professional license revocation in certain states, lawsuits, judgments, and harassment by collection agencies (Pardo and Lacey; Iuliano). These punitive measures frequently exacerbate borrowers' financial hardship, pushing them further into poverty rather than facilitating repayment. For example, garnishing the wages of individuals earning \$30,000 annually can reduce their income below the poverty line, making repayment even more challenging (Looney and Yannelis).

To address these harms, university leadership should advocate for reforms that eliminate exploitative collection practices and provide meaningful support to indebted alums. University presidents and administrators can leverage their influence to call for limits on wage garnishment and benefit offsets, promote equitable repayment options, and encourage policymakers to expand hardship protections and loan forgiveness opportunities. Legislative reforms could include capping the percentage of wages subject to garnishment, prohibiting offsets against Social Security and disability payments, strengthening borrower protections during economic distress, and establishing automatic discharge policies for long-term defaults or borrowers experiencing hardship. Federal and state legislators should also require loan servicers and collectors to provide clear, accessible information on repayment options and prohibit aggressive or deceptive collection tactics. Additionally, campuses can develop or expand alum counseling services, offer referrals to legal and financial aid resources, and publicly support policies that provide former students with viable paths out of default and poverty. Through oversight and advocacy, university leaders have a responsibility to support borrowers and help break the cycle of punitive debt collection.

Structural and Policy Failures

Decades of state disinvestment in public higher education have shifted financial burdens onto students and families. Since the 1980s and 1990s, state funding for public colleges has declined by 30-50% or more per student in most states, due to factors such as tax cuts, anti-tax sentiment, economic recessions (2001, 2008) that caused budget crises, competing priorities including prisons, Medicaid, and K-12 education, and ideological opposition to public investment ("State Higher Education Funding Cuts"; Webber; Feldman and Archibald 618-644). Consequently, public colleges have raised tuition substantially to offset lost funding, effectively privatizing the cost of public education. What was once affordable or free public education has become prohibitively expensive. State disinvestment remains the primary driver of tuition inflation (Webber; "Recent Trends in the Cost of College"). For instance, California public universities were tuition-free until the 1970s and 1980s, and many states had minimal or no tuition. ("From Master Plan to Mediocrity: Higher Education Performance & Policy in California") These effective policy choices were subsequently reversed (Mettler). Federal policy has prioritized loan access over affordability, making loans widely available rather than ensuring college affordability, and thereby shifting risk and financial burden onto individuals instead of investing public resources in accessible education. This shift reflects a move from viewing education as a public good deserving collective investment to treating it as a private commodity to be financed through individual debt (Mettler; "State Higher Education Funding Cuts").

To address these failures, policymakers should prioritize reversing disinvestment and restoring affordability in public higher education. Key solutions include restoring state appropriations for public colleges to at least pre-2000 per-student funding levels and establishing funding formulas that ensure stable support regardless of economic cycles. Additionally, federal aid policy should be rebalanced to prioritize direct grants over loans, including expanding need-based grant programs such as

Pell. These reforms would directly reduce financial pressure on students by making public higher education affordable and limiting future debt burdens. Further measures include creating dedicated state trust funds to protect education budgets from recession-driven cuts, capping tuition increases so they do not outpace family income growth, and using federal matching grants to incentivize states to increase and sustain higher-education investment. States may also consider creating or expanding tuition-free programs for in-state residents at public colleges, drawing on successful models from previous decades.

Faculty Senates are instrumental in advancing these reforms by drafting and passing resolutions that advocate for increased public investment and affordable tuition policies, organizing campus forums or town halls to raise awareness among faculty, students, and staff, and collaborating with administration to support advocacy efforts at the state and federal levels. Faculty can also work with student government and other campus groups to share relevant experiences, coordinate letter-writing or lobbying campaigns, and engage directly with policymakers. By leveraging their collective voice and leadership positions, Faculty Senates can help ensure that the urgency of restoring affordability is recognized both on campus and in the broader policy arena.

University presidents and senior leaders play a pivotal role in championing these reforms by building cross-campus coalitions, providing public testimony at legislative hearings, and directly engaging with state and federal policymakers to advocate for renewed investment and tuition relief. By utilizing their institutional platforms to highlight the urgency of these issues through op-eds, media interviews, and engagement with community stakeholders, higher education leaders can build public support and demonstrate the sector's unified commitment to restoring affordability. Their leadership and advocacy are essential for driving meaningful policy change and inspiring action among lawmakers and the broader public.

University leaders are central to advancing these reforms. Presidents and chancellors can build coalitions across campuses to advocate for increased public funding, issue public statements emphasizing the urgency of affordable higher education, and actively engage with legislators to promote supportive policies. Faculty Senates serve as essential partners in these efforts. Through participation in coalition-building, assistance in crafting public statements, and leveraging faculty expertise via shared governance, Faculty Senates can amplify advocacy, ensure policy recommendations are informed by practical experience, and demonstrate unified campus support for affordability reforms. Trustees can also adopt a proactive stance by formally endorsing resolutions that prioritize affordability, directly engaging with policymakers, and leveraging their community influence to advocate for increased investment in public higher education. Trustees may further support leadership by aligning institutional priorities with advocacy goals, participating in public forums, and encouraging broader campus and alumni engagement in policy efforts. By utilizing their platforms to highlight student and family impacts, mobilize institutional networks, and partner with faculty and other education advocates, higher education leaders and trustees can help drive public understanding and political momentum for transformational change.

To assess and demonstrate the effectiveness of advocacy efforts, presidents and trustees should identify and monitor specific metrics, such as the amount of new public funding secured, the number and diversity of campus and community partners in advocacy coalitions, policy changes or legislative successes, participation rates in advocacy campaigns, and increases in positive media coverage or public testimony. Faculty Senates can contribute by collaborating on data collection, providing regular feedback from faculty and students, and participating in reviews of progress reports for these initiatives. Through these activities, Faculty Senates help ensure comprehensive tracking and the incorporation of campus stakeholder perspectives into ongoing evaluation. Monitoring these indicators will guide ongoing advocacy and underscore the institution's leadership and commitment to restoring affordability. Collectively, these steps would help restore affordability, reduce student debt, and renew the promise of public higher education as a public good.

Current policy enables exploitation through unlimited Parent PLUS loans, minimal oversight of for-profit institutions, lack of institutional accountability for debt outcomes, and tax policies that favor wealthy institutions' endowments—all deliberate

policy choices (Dynarski, "An Economist's Perspective"). Bankruptcy protections do not apply to student loans, creating a unique and unjust exception that traps borrowers. Unlike credit card debt, medical debt, business loans, mortgages, and nearly every other form of debt (including gambling debts), student loans cannot be discharged in bankruptcy except in cases of "undue hardship," an extremely high legal standard that is rarely met (requiring proof of permanent total disability and lifelong poverty). (Team) This situation traps borrowers even in severe circumstances such as permanent disability, unemployment, mental health crises, family catastrophes, or economic collapse. In contrast, many other developed countries allow for student debt relief through bankruptcy or do not tie higher education financing to individual or family debt. For example, Australia's income-contingent loan system allows borrowers to pay based on earnings and provides loan cancellation after a set period. Most European countries offer low or no tuition and government funding for higher education, so students rarely face unmanageable personal debt. In Canada and the United Kingdom, student loans can be discharged in bankruptcy after a specified period. (Martinenghi)

International models provide several practical lessons for U.S. policy. First, capping or eliminating tuition and prioritizing direct public investment keeps higher education affordable and significantly limits personal debt. Second, aligning repayment amounts with borrower income ensures that loan payments remain manageable, while automatic debt relief after a set period offers a built-in safety net. Third, accessible bankruptcy protections assist borrowers in distress, preventing lifelong financial ruin from education debt. Adopting these elements would align U.S. policies with proven international practices, enabling trustees and policymakers to pursue reforms that strengthen access and reduce risk for American students and families.

These international models underscore that limiting debt exposure for students and families, aligning repayment with income, providing accessible bankruptcy relief, and protecting access to education as a public good are achievable through deliberate policy choices. U.S. universities and policymakers can draw on these approaches by advocating reforms that reduce reliance on individual borrowing, align repayment with actual ability to pay, and prioritize broad, equitable access. The bankruptcy exception in the U.S. was introduced in the 1970s and 1980s through lobbying by lenders who claimed that borrowers would strategically default, a myth unsupported by evidence but used to justify policies that have trapped millions (Pardo and Lacey; Iuliano).

The inability to discharge student loans makes them uniquely inescapable and oppressive, following borrowers until death and, in some cases, beyond, as private loans with co-signers may pursue estates or surviving family members (Iuliano). Income-Driven Repayment (IDR) plans assist some borrowers but are complex, confusing, and flawed. IDR plans (IBR, PAYE, REPAYE, ICR) cap monthly payments at 10-15% of discretionary income and offer forgiveness after 20-25 years of payments, providing a lifeline for those unable to afford standard payments. However, these plans are difficult to navigate due to varying rules and eligibility requirements, require annual recertification (with loss of access and interest capitalization if not completed), and can result in substantial tax bills when loans are forgiven (the forgiven amount is treated as taxable income, potentially creating unaffordable "tax bomb" liabilities). For low earners, loan balances may grow over time if payments do not cover accruing interest, and the extended repayment period means borrowers spend prime working years in debt ("Income-Driven Repayment (IDR)"; Dynarski, "The Trouble with Student Loans"). Policymakers could improve IDR by consolidating existing plans into a single, straightforward option, automatically enrolling eligible borrowers, eliminating the tax penalty on forgiven amounts, and shortening the repayment period required for forgiveness. Additional improvements include reducing paperwork, providing clear communication about eligibility and progress toward forgiveness, and ensuring that monthly payments fully cover accruing interest.

Many eligible borrowers are unaware of IDR or face challenges enrolling and maintaining enrollment, resulting in significant under-enrollment (Baum and O'Malley). Public Service Loan Forgiveness (PSLF) has failed most applicants despite being an explicit promise to public servants. Intended to forgive loans after 10 years (120 monthly payments) of full-time work in public service (government, nonprofit 501(c)(3)) and qualifying loan payments, PSLF was designed to support careers in teaching, social work, public defense, and similar fields. However, the program has been undermined by servicer errors (such

as lost paperwork, failure to count eligible payments, and misinformation), confusing eligibility requirements (specific loan types and repayment plans), lack of communication (borrowers were unaware if payments counted until applying for forgiveness after 10 years), and initial rejection rates exceeding 98% (of the first 41,000 applications, only about 300 were approved). (Office) Many individuals who dedicated a decade to public service, forgoing higher-paying private-sector work for loan forgiveness, were denied on technicalities, resulting in a significant breach of trust ("Income-Driven Repayment (IDR)"; Rothstein and Rouse).

To address these challenges and demonstrate campus-level support, universities can play a proactive role in assisting students and employees with navigating PSLF and IDR programs. Effective strategies include offering regular information sessions or workshops on federal student loan repayment and forgiveness options, providing dedicated campus advisors or financial aid staff trained to assist with PSLF and IDR enrollment, and creating accessible guides or online resources tailored to the university community. Establishing a designated point of contact for questions about eligibility, paperwork, and deadlines would help borrowers avoid common pitfalls and miscommunication from loan servicers. Integrating this support into standard employee onboarding or student services empowers borrowers to make informed decisions and fully utilize available benefits. Implementing these services typically requires allocating staff time and budget for training and service delivery. For most campuses, this may involve designating or hiring one to two full-time equivalent staff in financial aid or HR roles, providing ongoing professional development, and investing in technology and communications to promote awareness and accessibility. However, limited budgets and staffing constraints can present significant challenges, particularly for smaller or less-resourced campuses. Faculty Senates can advocate for prioritizing these resources in university budgeting processes, identify areas where existing staff or offices could be cross-trained to meet demand, and help build coalitions with student and staff organizations to support targeted investment in student loan support services. Proactive planning for these resource requirements and seeking creative solutions to maximize impact within current constraints will help ensure services are effective and sustainable without overburdening existing staff.

To ensure effectiveness and support accountability, boards should track key metrics such as participation rates in information sessions, the number of borrowers successfully enrolling in PSLF and IDR programs, borrower satisfaction survey results, and reductions in errors or paperwork delays. These metrics should, whenever possible, align with broader institutional priorities such as student success, retention, and positive community impact. By connecting data on financial wellness initiatives to institutional goals, university leadership can better demonstrate the strategic value of this support and its role in advancing the university's mission. Faculty Senates can contribute by collaborating on data collection efforts, gathering direct feedback from borrowers, and participating in assessment committees or review processes. Involving faculty in these evaluation activities reinforces shared governance and ensures that the ongoing needs and experiences of borrowers are addressed. Regular reporting on these indicators, combined with feedback from borrowers, will enable boards and faculty to assess progress, identify areas for improvement, and ensure that support initiatives deliver meaningful outcomes for students and employees.

Practical reforms are necessary to restore trust and fulfill the promise of PSLF. Key recommendations include streamlining eligibility by automatically counting all federal loan types and repayment plans toward PSLF, rather than restricting forgiveness to only certain loans and plans. Real-time tracking and communication should be implemented so borrowers can see which payments qualify and identify problems early, rather than waiting ten years to discover ineligibility. Servicers should be required to provide annual written updates on PSLF progress and payment counts. Bureaucratic hurdles, such as the annual employment certification, should be removed, and retroactive credit should be allowed for payments made under any repayment plan while serving in eligible public service roles. Oversight and accountability for servicers should be increased to ensure errors are corrected promptly. By simplifying requirements and ensuring transparency, PSLF can effectively support public service careers and strengthen confidence in the program.

Recent reforms have improved PSLF (such as temporary waivers and automatic counts). Still, millions lost years of eligible payments or abandoned the process entirely due to mismanagement (Dynarski, "An Economist's Perspective"). Interest capitalization significantly increases debt burden through compound interest. When interest accrues during school (for unsubsidized loans), grace periods, deferment, forbearance, or when borrowers miss payments or leave IDR plans, unpaid interest is added to the principal balance, resulting in borrowers paying interest on interest and exponentially increasing total costs. For example, a borrower who defers loans for two years might see \$5,000-\$10,000 in interest added to principal, which then accrues additional interest, causing debt to balloon ("Historical Federal Student Loan Rates"; "How does interest accrue while I am in school?"). Parent PLUS loans trap parents, grandparents, and families in debt for their children's education, jeopardizing retirement security. Parents can borrow unlimited amounts to cover costs not met by other aid, with only minimal credit checks (checking for defaults, not income or ability to repay) and no income requirements or counseling about long-term consequences. Many parents in their 50s, 60s, and 70s now face \$50,000-\$150,000 or more in debt for their children's education, resulting in garnished Social Security checks in retirement (offsets for defaulted loans), inability to retire, damaged credit, and depletion of retirement savings and home equity. (Conrath and Carson) This situation jeopardizes parents' financial security and retirement dignity due to systemic failures; parents feel obligated to help their children but are exploited (Zaloom; Dynarski, "An Economist's Perspective"). Parent PLUS loans also have the highest interest rates (7-8% or more), highest fees, and fewest protections, yet are aggressively marketed to parents as "help" for their children ("Historical Federal Student Loan Rates").

To protect families and prevent intergenerational debt crises, policymakers should implement safeguards for Parent PLUS loans. Recommended reforms include capping the amount parents can borrow based on a realistic assessment of their income and ability to repay, introducing mandatory pre-borrowing counseling to ensure parents fully understand the risks and long-term consequences, and strengthening credit checks to consider parents' debt-to-income ratio and retirement security. Additional measures could require schools to inform families about lower-cost borrowing options and available grant aid before promoting Parent PLUS loans, and establish hardship protections or flexible repayment options for older borrowers facing financial distress. By setting clear limits and requiring better information and support, these changes can prevent parents from incurring unmanageable debt while still supporting access to higher education.

Economic Consequences for Society

Student debt drags down the entire economy through reduced consumer spending, entrepreneurship, and economic dynamism. Borrowers paying \$300-\$1,000+ monthly cannot purchase homes (reducing residential construction, furniture sales, home improvement), buy cars (reducing auto industry sales), purchase consumer goods (reducing retail spending across economy), invest in stock market (reducing capital for business growth), start businesses (reducing innovation, entrepreneurship, job creation), have children (reducing future workforce and consumer base), or make any significant purchases. Money extracted for loan payments does not circulate in the economy, reducing overall growth and economic activity. Student debt is a massive drag on GDP growth and economic vitality (Alexander; Fullwiler et al.). Estimates suggest student debt reduces GDP growth by 0.1-0.3% annually, costing tens of billions in lost economic activity (Alexander; Bahadir and Gicheva 2273-2300).

To address these negative impacts, targeted government policy interventions could make a significant difference. Policymakers could implement widespread loan forgiveness programs, cap interest rates on federal and private student loans, expand need-based grants such as the Pell Grant, and increase funding for tuition-free or reduced-cost public higher education. Other possibilities include strengthening income-driven repayment plans and expanding tax relief for borrowers. These interventions would not only lift individual borrowers but help stimulate consumer spending and economic growth across the broader economy. For students and families considering college, these economic effects mean that future choices about financing education can have a long-term impact not only on graduates' lives but also on their ability to buy homes, support families, or start a business.

Understanding the broader consequences makes it clear that the decision to take on student debt is not just an individual burden, but a choice that can shape financial stability for entire families and influence their options and opportunities for years to come. Universities can play a crucial role in reducing student debt and supporting graduates by increasing need-based financial aid, expanding scholarship opportunities, providing transparent information about the full cost of attendance, and offering robust career and financial counseling. Institutions can also develop more affordable degree pathways, such as accelerated programs or partnerships with community colleges, to lower overall costs for students. By taking these steps, universities can help ensure that students are better positioned for long-term financial stability and economic participation after graduation.

The racial wealth gap widens dramatically due to student debt. Because Black, Latino, and Native borrowers hold more debt, struggle more with repayment, default at higher rates, and face discrimination limiting earnings, student loans actively exacerbate racial economic inequality, reversing hard-won gains from the civil rights era and perpetuating systemic racism through seemingly neutral financial mechanisms. Student debt is a mechanism of racial wealth extraction (Scott-Clayton and Li; Houle and Addo). The Black-white wealth gap has widened in recent decades, and student debt is a contributor. Black households with college degrees have less wealth than white households without college, partly due to debt burden ("College Debt Worsens the Racial Wealth Gap"; Kochhar and Moslimani). Targeted equity programs are essential to address these widening disparities. While universities can take action by creating or expanding scholarships for underrepresented groups, increasing access to need-based grants, and developing mentorship or support initiatives specifically for Black, Latino, and Native students, government action is also crucial. Federal and state policymakers can help close the gap through targeted debt relief, expanded grant programs, and investment in historically underfunded institutions. For example, initiatives like income-driven loan forgiveness, tuition-free college for low-income students, or direct grant funding for students from marginalized backgrounds can address disparities at scale. Administrators should also consider investing in culturally responsive advising and financial aid counseling, as well as creating partnerships with community organizations to ensure students from historically marginalized backgrounds receive the resources and support they need to complete their degrees with less debt.

While these systemic barriers require policy action, families and individuals can seek support to minimize debt burden. Resources include accessing federal and state grant programs, applying to scholarships dedicated to underrepresented groups, and utilizing income-driven repayment plans or public service loan forgiveness. Community-based college advising can help students select affordable educational paths and maximize aid. Nonprofit organizations and cultural associations often offer guidance and emergency support for students of color. Strengthening financial literacy, understanding loan terms before borrowing, and seeking out supportive institutional programs can also help affected families make informed decisions. Spreading awareness of these practical steps can help empower borrowers while continuing to call for broader reforms.

Brain drain and talent misallocation occur when highly educated people cannot pursue the work they trained for or the roles where they are most needed. Talented people leave teaching, social work, nonprofit, public interest law, and other mission-driven fields for corporate jobs, abandon geographic areas that need them (rural healthcare, legal aid, etc.), leave professions entirely (trained doctors, lawyers, therapists quit), and experience wasted training and lost social investment (society paid to train them through subsidized education, then debt forces them away from intended work) (Rothstein and Rouse). Healthcare and education sectors suffer severe workforce shortages and turnover because professionals in these essential fields carry huge debt but earn less than peers in corporate sectors: medical residents and physicians with \$250,000-\$500,000 debt but earning \$50,000-\$70,000 during residency, teachers with master's degrees required for advancement but earning \$40,000-\$60,000 with \$50,000-\$80,000 in debt, social workers with MSWs and \$70,000 debt earning \$35,000-\$50,000, mental health counselors with master's degrees and \$60,000+ debt earning \$40,000-\$55,000, and public interest lawyers with \$150,000+ debt earning \$50,000-\$65,000 (Hanson, "Average Medical School Debt"; Rothstein and Rouse). (Leider et al. 485-491) They burn out, leave their professions for higher-paying work, or never enter these fields, creating crises in essential services.

Rural areas, underserved communities, and the public sector face the worst shortages, exactly where mission-driven work is most needed but debt makes it economically impossible (Chetty et al.). While there are some alternative funding options, such as competitive scholarships, federal loan forgiveness programs for public service, and service-based initiatives like the National Health Service Corps or Teach for America, these opportunities are often limited, highly selective, or require significant commitments that still may not fully offset the burden for many professionals. To address these shortages at scale, broader, government-backed incentives are needed. Policymakers could expand public-sector loan forgiveness to cover a broader range of mission-driven careers, increase service-based scholarships, or create new national programs that offer substantial tuition support and loan cancellation for graduates who commit to working in critical-need areas for a set period. By investing in such scalable solutions, the government can help retain needed professionals in sectors vital to society, strengthen the workforce, and ensure equitable access to essential services. Increasing awareness of and expanding such programs could help more students pursue mission-driven careers without overwhelming debt. Still, their current reach is not sufficient to address the scale of the problem.

To address these shortages and create more sustainable pathways, universities can collaborate with public agencies, nonprofits, and employers to create targeted funding and career initiatives. For example, institutions could partner with state and local governments to offer tuition remission or stipends for students who commit to serving in high-need areas after graduation. Policymakers can facilitate these collaborations by providing government grants, offering tax credits to participating institutions or employers, or enacting regulatory support to encourage public-private partnerships. Joint programs with nonprofits may provide paid internships, mentorship, and guaranteed job placement in mission-driven sectors. Universities could also work with hospital systems, school districts, or legal aid organizations to create tailored loan repayment assistance or cost-sharing models tied to public service employment. Collaborations like these can leverage external resources while aligning educational outcomes with community and societal needs, expanding access to mission-driven careers for more graduates.

Generational conflict and resentment intensify, poisoning civic culture. Older generations—who attended affordable college, worked part-time to pay tuition, and graduated debt-free or with minimal loans—often don't understand or believe the crisis, leading to victim-blaming ("You just need to work harder," "I paid my way through college," "You chose your major poorly"), policy paralysis (older voters oppose debt relief, seeing it as unfair or bailout for "irresponsible" young people), and dismissal of legitimate grievances ("Millennials are entitled," "Gen Z wants handouts"). Younger generations—drowning in debt, locked out of milestones older generations took for granted (homeownership, retirement security, economic mobility), working harder for less—feel betrayed and abandoned by older generations who benefited from affordable education then pulled the ladder up, anger at being blamed for systemic problems, and alienation from civic and political participation. (Fry) This intergenerational conflict undermines social cohesion and collective action (Zaloom; Goldrick-Rab). The "OK Boomer" phenomenon reflects this resentment and communication breakdown between generations with vastly different economic realities (Hout).

Democratic participation and civic engagement decrease among debt-burdened young people. Financial stress, working multiple jobs, disillusionment with institutions that exploit them, and cynicism about whether political participation can create change reduce voting (lower turnout among young people), organizing and activism (no time, energy, or resources), community involvement (transience, isolation, time poverty), and faith in democracy itself (sense the system is rigged). (Agbonlahor) The erosion of democratic participation among educated young people threatens democratic governance (Mettler). Student debt is creating a generation of economic and political alienation, potentially undermining democratic stability and social peace (Mettler; Aaronson and Mazumder).

At the same time, universities and colleges have an opportunity to help reverse these trends by actively fostering civic engagement among their students. Initiatives such as campus voter registration drives, nonpartisan civic education courses, student-led public issue forums, and support for participation in local government can help debt-burdened students feel

empowered to participate in democracy. By cultivating a culture of civic involvement and providing institutional support, campuses can play a key role in strengthening democratic participation even amid financial pressures. In addition to efforts by universities, government policy could play a critical role in addressing this issue. Public investment in civic education programs at the K-12 and higher education levels, along with grant funding for nonpartisan voter outreach and youth leadership development, can help foster lifelong habits of engagement. Policymakers can also offer incentives such as tax credits or scholarship opportunities to encourage youth participation in public service, voting, and community initiatives. By establishing supportive frameworks through public policy, governments can complement the contributions of educational institutions and help rebuild civic engagement among young people affected by student debt.

Despite these challenges, students and families can stay involved and empowered by seeking out opportunities for civic engagement, such as participating in local government, joining campus or community organizations, voting in every election, and sharing their stories with policymakers and media to advocate for change. Peer support networks, town hall meetings, and student-led campaigns can help amplify voices and create a sense of solidarity. By staying informed, connecting with others facing similar struggles, and continuing to advocate collectively, students and families can strengthen their influence and help drive the reforms needed to address the student debt crisis.

Concrete Policy Solutions to Address Borrower Needs

Forgiving all or substantial portions (\$10,000, \$50,000, or complete cancellation) of existing federal student debt would provide immediate relief to 45 million borrowers. This would enable greater participation in the economy through homeownership, entrepreneurship, and family formation, while recognizing systemic failures rather than individual shortcomings (Fullwiler et al.). For current students, such relief would allow graduation without unmanageable payments, facilitating focus on career and personal development. Prospective students and their families would gain confidence that pursuing higher education does not necessarily entail a lifetime of debt, increasing accessibility and attractiveness. For example, debt cancellation could help recent graduates qualify for mortgages, assist young families in saving for their children's education, or allow aspiring entrepreneurs to start businesses without deferring goals due to loan obligations. Although the estimated fiscal impact of large-scale federal student debt cancellation ranges from \$400 billion (for \$10,000 per borrower) to \$1.7 trillion (for full cancellation), these costs could be offset by closing tax loopholes for high earners, implementing a financial transactions tax, or redirecting federal spending from inefficient subsidy programs ("Tax Expenditures").

Policymakers should conduct comprehensive short- and long-term budget analyses to ensure fiscal sustainability and evaluate broader economic benefits. Debt cancellation stimulates the economy, promotes racial equity, and addresses moral imperatives. It would increase GDP, reduce the racial wealth gap, and address systemic inequities (Jabbari et al.; Fullwiler et al.; Scott-Clayton and Li). Deans and university leaders play a critical role in advancing these federal policy changes by issuing public statements, collaborating with peer institutions to form coalitions, and engaging directly with legislators to advocate for student debt relief. By leveraging their positions and expertise, deans can amplify calls for reform and ensure that students' and communities' needs are represented at the policy level. Students and families can support these initiatives by sharing experiences with lawmakers, participating in advocacy campaigns, attending public forums, and joining community groups focused on student debt relief. Their involvement is essential for building momentum and holding policymakers accountable for substantive change.

The most urgent and actionable steps for university leaders are those that can be directly advocated for or implemented at the campus or state level. University administrators should prioritize the following actions:

- Mobilizing support to make public colleges and universities tuition-free or to guarantee that students graduate debt-free through expanded grants, rather than loans, thereby ensuring that no student must borrow to access public higher education.

- Advocating for substantial federal and state reinvestment in public higher education to reverse decades of disinvestment through dedicated funding (“State Higher Education Funding Cuts”; Webber).

The GI Bill, which provided free college education to millions of WWII veterans, contributed to the creation of the most prosperous generation in American history (Mettler). Restoring affordability and debt-free access to higher education requires a focused commitment to concrete policy solutions. Addressing institutions that exploit students requires job placement and debt-to-earnings accountability by linking federal aid eligibility to clear outcome benchmarks. Institutions should maintain a cohort default rate below 15 percent and a job placement rate above 70 percent within six months of graduation to retain access to federal loans (“34 CFR § 668.183 - Calculating and applying cohort default rates”). To enable informed decision-making, these benchmarks and institutions’ performance should be communicated through publicly accessible dashboards on institutional and Department of Education websites. Annual reports summarizing school performance on each metric should be distributed to prospective students and families and included with financial aid offers and college comparison tools. Such transparency ensures stakeholders have access to current information on institutional quality and student outcomes.

Programs where graduates’ median debt-to-earnings ratio exceeds 8 percent should be placed on probation. Institutions failing to meet these benchmarks for three consecutive years would lose eligibility for federal aid (“Student loan plan impacting 2 million people resumes. Here’s who’s eligible.”). To ensure compliance, the Department of Education should implement an annual review process using audited institutional data and third-party verification. Institutions must submit regular reports with supporting documentation, and independent agencies should validate job placement and earnings data. The Department should issue warnings for the first violation, place institutions on probation for the second, and revoke aid eligibility after a third consecutive failure, with all decisions made public. Random audits and substantial penalties for falsified data or noncompliance would reinforce accountability.

To prepare for these accountability measures, deans and university leaders should evaluate current data collection and reporting systems to identify gaps in tracking student outcomes, job placements, and default rates. Establishing cross-functional compliance task forces with representatives from institutional research, career services, financial aid, and academic departments can facilitate coordinated readiness. Institutions should review data verification processes, consider upgrading systems for accurate reporting, and provide targeted training for staff. Conducting internal audits and implementing early warning systems to identify programs at risk of failing benchmarks will support preparation. By taking these steps, deans can position their institutions to meet new federal requirements and enhance student success.

Prohibit deceptive marketing practices, require transparent disclosure of costs and outcomes, mandate automatic borrower defense (debt cancellation for defrauded students), and implement stricter regulations on predatory private lenders through interest rate caps, required borrower protections, and elimination of co-signer requirements (Cottom; Deming et al.; Cellini and Turner). For-profit institutions should either lose access to federal student aid entirely or be subject to significantly stricter regulation (“Student Loan Crisis Underscores Inequity in Higher Education”).

Student loans should be dischargeable in bankruptcy like other debts, eliminating the “undue hardship” exception and restoring standard protections. Since medical debt, credit card debt, and business loans can be discharged, student loans should not be treated differently (Pardo and Lacey; Iuliano). Bankruptcy provides individuals a fresh start; student loans should not be excluded (Iuliano). Implementing this change requires federal legislation to amend the U.S. Bankruptcy Code, which may take several years depending on political priorities. Additional improvements include automatic enrollment in Income-Driven Repayment plans (eliminating annual recertification and using IRS data for tracking) and a streamlined Public Service Loan Forgiveness program (with automatic tracking of eligible employment and payments). These changes require federal regulatory updates and administrative reforms by the Department of Education, typically taking 12-24 months after new rules are finalized (Office). Eliminating “tax bombs” on forgiven debt, ensuring forgiven amounts are not taxable income, also requires federal legislation. Universal forgiveness after 10-15 years for all borrowers, regardless of employment (“Income-

Driven Repayment (IDR)”; Dynarski, “The Trouble with Student Loans”), would similarly require new legislation and could take years to implement. Families should know that even after new laws are enacted, full implementation may take additional time as agencies develop processes, issue regulations, and update systems. Policymakers should prioritize these actions to achieve meaningful systemic change.

Forgiveness programs must be reformed to function effectively, rather than remaining bureaucratic processes that deny the vast majority of applicants (“Student loan repayments plagued by errors, bad customer service”; Dynarski, “An Economist’s Perspective”). Interest rates should be set at 0 percent, reflecting loans as public investments rather than profit-generating instruments, or capped at 1-2 percent to cover only administrative costs. This approach would prevent loan balances from exceeding original amounts borrowed and ensure that payments reduce principal. Interest capitalization should be eliminated (“Historical Federal Student Loan Rates”). Interest-free loans would significantly improve repayability and prevent unsustainable debt growth (Fullwiler et al.).

Transitioning from loans to grants would eliminate the need for students to borrow. Pell Grants should be expanded to cover the full cost of attendance at public institutions—including tuition, fees, room and board, books, and living expenses—for low-income students, indexed to inflation, and with broadened income eligibility (“State Higher Education Funding Cuts”; Goldrick-Rab). Restoring Pell Grants to cover 70-80 percent of college costs, as was the case in the 1970s, rather than the current 30-35 percent, is essential (“Indicator 3b(ii). Percentage of average costs (tuition and required fees plus room and board) covered by the maximum Pell Grant”; Mettler).

Federal funding eligibility should be linked to tuition affordability (with penalties for excessive price increases), student outcomes (including graduation rates, job placement, and debt-to-earnings ratios), spending priorities (requiring a specified percentage of expenditures on instruction versus administration), and transparency (public reporting of costs, debt, earnings, and graduation rates by program) (Cellini and Turner; Archibald and Feldman). Implementing these standards will require universities to undertake significant operational adjustments, such as revising budgeting practices, reallocating resources toward instruction, and investing in enhanced data collection systems. Institutions may need to hire or train staff to manage new reporting workflows, monitor student outcomes more closely, and develop processes for real-time cost monitoring and disclosure. To support institutions, particularly those with limited resources, policymakers should provide technical assistance, guidance, and targeted funding to help campuses build capacity, upgrade data infrastructure, and train relevant staff.

To facilitate operational changes, deans should: (1) establish a cross-functional team to conduct a gap analysis between current practices and new accountability requirements; (2) prioritize key areas for resource allocation, such as upgrading data systems or staff training; (3) develop an action plan with clear timelines and benchmarks for implementing adjustments; (4) initiate pilot projects in high-impact areas to test new reporting or financial practices; and (5) regularly review progress and adjust strategies based on feedback and outcomes. By adopting a stepwise approach, deans can provide effective leadership throughout the transition process. Anticipating these operational changes and ensuring equitable support for implementation will enable leaders to proactively plan for a smoother and more effective transition as accountability measures are introduced.

Institutions should assume a portion of the financial risk when students default, as sharing the cost of failures would incentivize improved outcomes (Looney and Yannelis). To advance these reforms, university leaders should collaborate with policymakers, federal and state higher education agencies, and accrediting bodies. Establishing cross-sector working groups or task forces can help align institutional practices with evolving state and federal priorities, enhance accountability measures, and coordinate advocacy for dedicated funding and regulatory change. Effective collaboration models include formal regional consortia for sharing best practices, pooling resources, and coordinating data collection, as well as statewide or national joint advocacy groups that unite institutions, government agencies, employers, and community organizations to drive policy change. Participation in multi-institutional research alliances, collaborative grant-writing teams, or policy-

focused roundtables can further assist deans and institutional leaders in developing practical, actionable partnerships tailored to local and regional needs.

To maximize impact, deans and university leaders should prioritize the following actions:

1. Immediately strengthen data sharing and outcome transparency by consistently collecting and reporting student success metrics.
2. Mobilize joint advocacy efforts to secure dedicated federal and state funding for higher education.
3. Invest in direct student support by expanding counseling services, targeted mental health resources, and financial guidance.
4. Establish campus partnerships across departments and with external stakeholders to align strategies focused on affordability and accountability. By concentrating on these priorities, deans can achieve measurable progress in both institutional and student outcomes while expanding their influence at the policy level.

Through building partnerships, sharing data on student outcomes, and engaging in joint advocacy efforts, higher education administrators can influence legislation and funding frameworks that promote both institutional and student success. Federal and state governments must address decades of disinvestment by providing recurring dedicated funding (rather than one-time allocations), matching funds (federal matching for state investment), capital investments (for deferred maintenance, new facilities, and technology), and expanded access (increasing seats, campuses, and programs) (“State Higher Education Funding Cuts”; Webber).

A 21st-century Higher Education Act is needed to fundamentally reimagine the federal role in ensuring college accessibility and affordability (Mettler). Students should be required to participate in mandatory, substantive counseling before borrowing, including plain-language explanations of total costs, monthly payments, long-term consequences, realistic projections of earnings versus debt for specific programs, and cooling-off periods to allow consideration before accepting loans (Baum and O’Malley). However, financial literacy alone is insufficient to address the systemic crisis; affordability must also be prioritized (Goldrick-Rab). In the interim, students and families can utilize existing support resources, such as free or low-cost mental health counseling, dedicated financial aid advisors, and online financial literacy modules. Many institutions also offer confidential debt management workshops and peer support groups to address both financial and emotional challenges associated with student debt. It is essential to recognize and address the psychological toll of student debt through funded mental health services, debt-related financial counseling and advocacy, support groups, peer networks, and public awareness campaigns that destigmatize these struggles and frame them as systemic issues rather than personal failures (Walsemann et al.; Richardson et al.; Sweet et al.).

The Necessity of Collective Societal Action

Education is a public good that benefits all of society, not just individuals. An educated population drives innovation, economic growth, public health, informed decision-making, civic participation, and social cohesion. For example, higher educational attainment has helped eradicate diseases such as polio, enabled technological advancements like the internet and clean energy, and increased voter turnout. Scientific breakthroughs, including vaccines and clean water solutions, often result from broad access to education. Communities with higher education levels typically experience lower crime rates and more stable economies. Historically, progress in education and other public goods has come through collective action rather than individual efforts. University leaders are well positioned to advocate for education as a public good and to support policies that expand access and public investment. Collective organization, whether for public schools, civil rights, or healthcare, has consistently produced systems that benefit the wider population. Addressing current challenges requires renewed commitment to mutual support and collective action. Therefore, education should be publicly funded rather than financed through lifelong individual debt (Hout; Mettler).

The current system is ethically indefensible and represents an intergenerational betrayal. Supporters of student loans argue they expand access and increase future earnings, claiming individual investment encourages efficiency and responsibility. Critics of universal public funding warn it could strain government resources or subsidize those able to pay. Many advocates emphasize access, agency, and responsible public spending, calling for sustainable and balanced solutions. However, these arguments often overlook the disproportionate debt burden placed on young people, who must make complex financial decisions early in life due to societal expectations.

While loans may provide access for some, decades of unavoidable debt constitute exploitation and systemic harm. Focusing only on personal responsibility ignores the public benefits of higher education and the long-term negative effects of student debt on mental health, family formation, entrepreneurship, and social mobility. The societal promise that education ensures success is undermined by the imposition of debt (Goldrick-Rab; Zaloom).

Comprehensive debt relief could stimulate the economy, enjoys broad political support, and is feasible. Eliminating debt for 45 million borrowers would likely increase consumer spending, saving, investment, and risk-taking, which would boost GDP, homeownership, family formation, and entrepreneurship. (Dinerstein et al.) These benefits would grow as borrowers spend locally instead of repaying loans. Policy options for debt relief include executive action, legislative reform, income-driven repayment reform, targeted relief, and universal federal loan cancellation. Each approach has distinct advantages, challenges, and implications for speed, scope, and durability. While debt cancellation may reduce government revenue, it can also promote economic growth and can be implemented through various mechanisms, each with specific strengths and limitations.

These policy options would significantly impact universities. Large-scale debt relief and changes to federal funding could shift enrollment patterns, as more individuals may pursue or return to higher education without the barrier of debt. Institutions that rely heavily on tuition revenue, especially private and for-profit colleges, may see enrollment changes and need to adjust financial aid structures. Public universities could face increased demand, requiring expanded capacity and enhanced student support services. Sustained debt-relief policies, combined with new investments, may encourage universities to prioritize access, retention, and graduation rates as affordable education becomes a national priority. In the short term, university leaders should prepare for changes in financial aid processing, student recruitment, and resource allocation as federal and state policies evolve.

Achieving substantive change requires coordinated organizing. Activists can mobilize by circulating petitions, organizing rallies and marches, contacting representatives, and collaborating with grassroots and national advocacy groups. Educational events, town halls, sharing personal stories in local media, and participating in coordinated days of action can further raise public awareness and maintain pressure on policymakers. Individuals not directly affected by student debt—including parents, educators, employers, and community members—play a critical role by attending events, voicing support, amplifying borrowers' perspectives, and voting for candidates who prioritize affordable education. Non-borrowers can also help by sponsoring forums, writing letters to the editor, supporting local relief initiatives, and joining coalitions for change. Through collective action, both borrowers and non-borrowers can turn widespread support for debt relief into substantive policy outcomes.

The main approaches to debt relief are executive action and legislative reform. Executive action, such as directing the Department of Education to cancel federal student debt under the Higher Education Act, offers expediency and bypasses congressional gridlock but may face legal challenges and potential court reversals. In contrast, comprehensive forgiveness legislation enacted by Congress would be more durable and far-reaching, though it is slower to implement and subject to political divisions.

Alternative models include income-driven repayment, which ties payments to income and forgives remaining balances after a set period. However, these models can leave borrowers in debt for decades and often fail to provide substantial relief. Some

proposals target relief to borrowers below specific income thresholds, increasing progressivity but risking the exclusion of struggling middle-class borrowers and adding administrative complexity. Universal federal loan cancellation is simpler to administer, removes stigma and barriers, and maximizes economic impact, though it is sometimes criticized for its cost and for including higher-income borrowers. Despite these challenges, significant debt relief is achievable with sustained public pressure and effective leadership.

Student debt cancellation has strong support across demographic groups, indicating that it is a mainstream policy rather than a marginal position (Fullwiler et al.). Historical precedents demonstrate both the feasibility and effectiveness of such initiatives. For instance, the GI Bill provided free college education to over eight million World War II veterans, contributing to the creation of a prosperous middle class, stimulating post-war economic growth, enabling homeownership and family formation, and illustrating the substantial returns of public investment in education. The United States has previously chosen to make higher education accessible and affordable, and this option remains viable. Additional examples include Land Grant colleges, which established free or low-cost public universities, and the California Master Plan, which made public higher education tuition-free in California during the 1960s and 1970s. Many countries today, such as Germany, Norway, Finland, and Scotland, offer free or nearly free higher education, further demonstrating the economic feasibility and political viability of such policies (Mettler; Bound and Turner).

The central issue is not the affordability of student debt cancellation, but the allocation of national priorities; the necessary resources exist, but the decision to direct them toward education has not been made ("State Higher Education Funding Cuts"). For context, the federal budget allocates hundreds of billions of dollars annually to defense spending, industry subsidies, and corporate tax breaks. The federal government spends significantly more on military defense each year than would be required to fund higher education or eliminate all student debt. ("The Budget and Economic Outlook: 2026 to 2036") In comparison, investing in accessible education is both feasible and modest in scale.

Concerns about the long-term fiscal impact of student debt cancellation include potential budget strain, tuition increases, threats to future education funding, and pressure on universities to sustain programs and research. These challenges can be addressed through careful policy design. Pairing debt relief with increased public investment and measures to prevent tuition hikes is essential. Universities can adapt by diversifying revenue streams, seeking additional public investment, and developing public-private partnerships that support access and excellence. Clear oversight and targeted funding can help maintain affordability and accountability in higher education without compromising quality. Collaborative planning with university leaders can ensure stable budgets, uphold academic standards, and sustain research and student services during funding reforms. To prevent future debt cycles, policies should also address root causes by regulating tuition, expanding free or low-cost public college options, increasing grants and need-based aid, and establishing long-term public funding. Combining immediate relief with safeguards against future debt will help ensure education remains accessible for future generations.

Many countries offer free or affordable higher education, making the United States an outlier. Numerous European and some Latin American countries provide free tuition at public universities or charge only nominal fees. (Paz) Despite being the wealthiest nation, the United States maintains some of the highest tuition rates globally, reflecting a policy choice rather than an economic necessity. (Marcucci and Johnstone 25-40) The United States stands out for the extent of student charges, the normalization of student debt, and the relatively low level of public investment in higher education (Archibald and Feldman; "College Tuition Price Inflation, 1980→2024"; Frank et al.).

Young people deserve equitable opportunities and should not be penalized for meeting societal expectations. They have shown diligence, achieved academically, pursued higher education, earned degrees, and entered the workforce as expected. Subjecting them to lifelong financial insecurity, delayed milestones, mental health challenges, and reduced prospects for fulfilling these expectations is unjust. Education should provide economic security, meaningful employment, homeownership,

family stability, retirement security, and full participation in civic and economic life (Zaloom; Goldrick-Rab; Chetty et al.). Students and young people can advocate for change by contacting representatives, joining advocacy groups, participating in campus organizations, and raising awareness in their communities. Building momentum for reform also involves forming alliances with labor unions, racial justice organizations, and local groups. Through coalition-building and mutual support, young people and their allies can amplify their influence and advance a broader movement for educational and economic justice.

The student debt crisis reflects broader systemic issues, including wealth concentration, public disinvestment, intergenerational inequity, racial capitalism, and a weakened social contract in which education no longer guarantees upward mobility. Student debt disproportionately affects low-income families and students of color, exacerbating existing disparities. For example, Black borrowers are more likely to incur student loans and face higher balances and slower repayment due to systemic barriers. (Bogia 586-591) Debt relief would help narrow the racial wealth gap, promote equitable economic outcomes, and support social mobility for historically marginalized groups. Addressing student debt requires confronting these structural challenges as part of a broader effort to build a more just and equitable society (Aaronson and Mazumder; Houle and Addo; Mettler).

University leaders play a critical role in advancing equity and inclusion. They can address racial and socioeconomic disparities in student debt by providing targeted need-based scholarships, expanding financial literacy programs for first-generation and underrepresented students, developing emergency grant initiatives, and ensuring transparent communication about debt and repayment. Universities can also collaborate with community organizations and local schools to support students of color and low-income students and enhance outreach regarding financial aid. Institutions should regularly collect and publicly report data by race, income, and first-generation status to identify disparities and inform policy and resource allocation.

The movement to address student debt is closely connected to broader efforts for economic, racial, and social justice. Student debt activists increasingly collaborate with advocates for workers' rights, racial justice, housing, and healthcare, recognizing that these challenges originate in structural inequality. By forming alliances and coordinating across movements, activists can amplify their impact and advance solutions that address both student debt and broader barriers to opportunity in the United States.

Conclusion

The student loan debt crisis is not the result of market forces or individual borrower irresponsibility. Instead, it represents a deliberate policy failure, a systemic betrayal, and a moral catastrophe that signals a fundamental breach of the American social contract (Mettler; Goldrick-Rab and Labaree 341-350). This crisis has transformed education from a public good and a pathway to opportunity into a mechanism for exploitation, debt servitude, and the perpetuation of inequality (Chetty et al.; Hout; "Accomplishments under the Leadership of Attorney General Eric Holder").

Millions of Americans, including 45 million borrowers carrying over \$1.7 trillion in inescapable debt, face persistent financial instability. These individuals are unable to establish stable lives, families, careers, and futures that higher education was expected to provide (Hanson, "Total U.S. Student Loan Debt"). Student debt impedes homeownership (Mezza et al.; Bleemer et al.), delays family formation (Nau et al.; Addo), limits the pursuit of meaningful employment (Rothstein and Rouse), restricts retirement savings (Fullwiler et al.), and undermines basic quality of life. Many borrowers experience severe mental health consequences, including anxiety, depression, shame, and suicidal ideation (Walsemann et al.; Sweet et al.; Richardson et al.). For many, decades of debt servitude result from pursuing education (Watson 1-25). The psychological toll is both immense and pervasive ("Majority of Student Loan Borrowers Link Mental Health Issues to Their Debt"; Sinha et al. 363-393).

The crisis exacerbates existing inequalities, disproportionately affecting low-income students (Goldrick-Rab), first-generation students (Cottom), students of color—particularly Black borrowers, who carry \$25,000 more debt on average and face greater repayment challenges (Scott-Clayton and Li; Houle and Addo)—and women, who hold two-thirds of all student debt while earning less due to the gender pay gap (American Association of University Women; Miller). Consequently, education shifts from serving as an equalizer to functioning as a mechanism that widens racial wealth gaps, class stratification, and intergenerational inequality ("College Debt Worsens the Racial Wealth Gap"; Pfeffer and Killewald).

For-profit colleges, predatory lenders, and loan servicers have generated substantial profits by systematically exploiting and defrauding vulnerable students through misleading promises, low-value degrees, and inescapable debt (Cottom; Deming et al.; Cellini and Turner).

Addressing the crisis requires systemic and structural reform rather than reliance on personal responsibility or individual decision-making (Dynan). Essential measures include broad debt cancellation to provide immediate relief to millions (Fullwiler et al.); implementation of free or debt-free public college to prevent recurrence (Mettler); restoration of bankruptcy protections to eliminate exceptions that trap borrowers (Pardo and Lacey; Iuliano); effective and simplified forgiveness programs ("Income-Driven Repayment (IDR)"); elimination or capping of interest rates to prevent unsustainable debt growth ("Historical Federal Student Loan Rates"); regulation and accountability to close predatory institutions (Cottom; Cellini and Turner); and substantial reinvestment in public higher education to reverse decades of state disinvestment ("State Higher Education Funding Cuts"; Webber).

Without bold and decisive action, generations of talent, potential, innovation, and well-being will continue to be sacrificed by student debt (Velez et al.). This crisis destroys lives, limits aspirations, undermines economic growth (Alexander), exacerbates inequality (Houle and Addo; Scott-Clayton and Li), and violates the promise that education leads to opportunity (Aaronson and Mazumder; III et al.). The issue extends beyond economic policy; it constitutes a moral crisis that demands a moral response. Society must choose either to continue extracting wealth from those who pursued education in good faith or to fulfill the promise made to them.

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